

ANNUAL REPORT



FINANCIAL STATEMENTS 2003



BRITISH AMERICAN  
TOBACCO  
KENYA



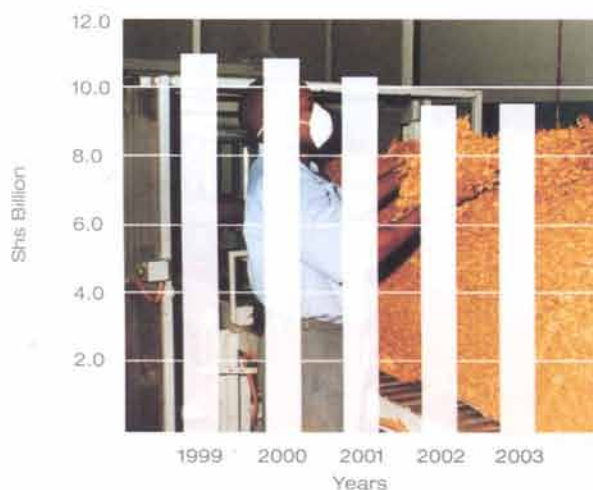
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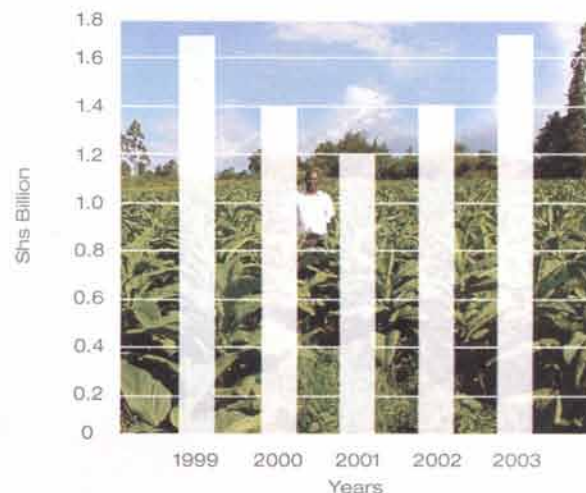
## Highlights 2003

Gross Turnover



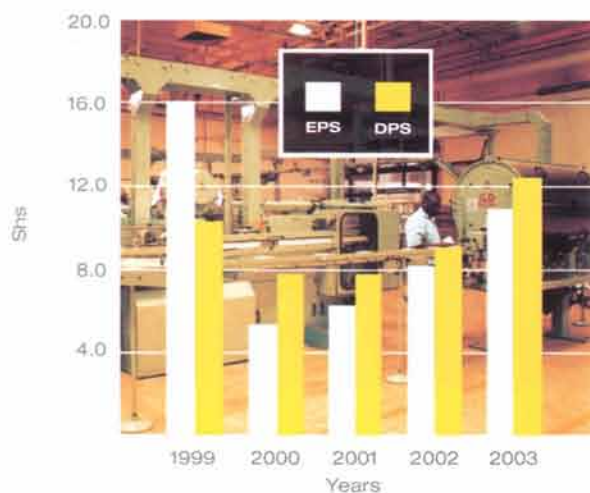
- Gross Turnover increased marginally to Shs 9.4 billion

Underlying Operating Profit



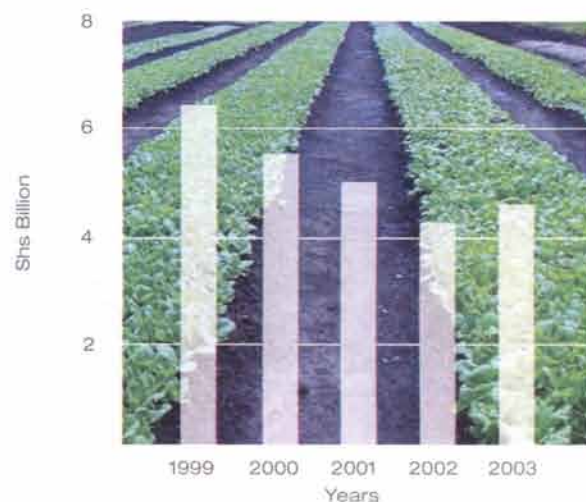
- Underlying Operating Profit increased by 19% to Shs 1.7 billion

Earnings/Dividend Per Share



- Total Dividend increased by 39% to Shs 1.25 billion
- Basic earnings per share increased by 39% to Shs 11.4

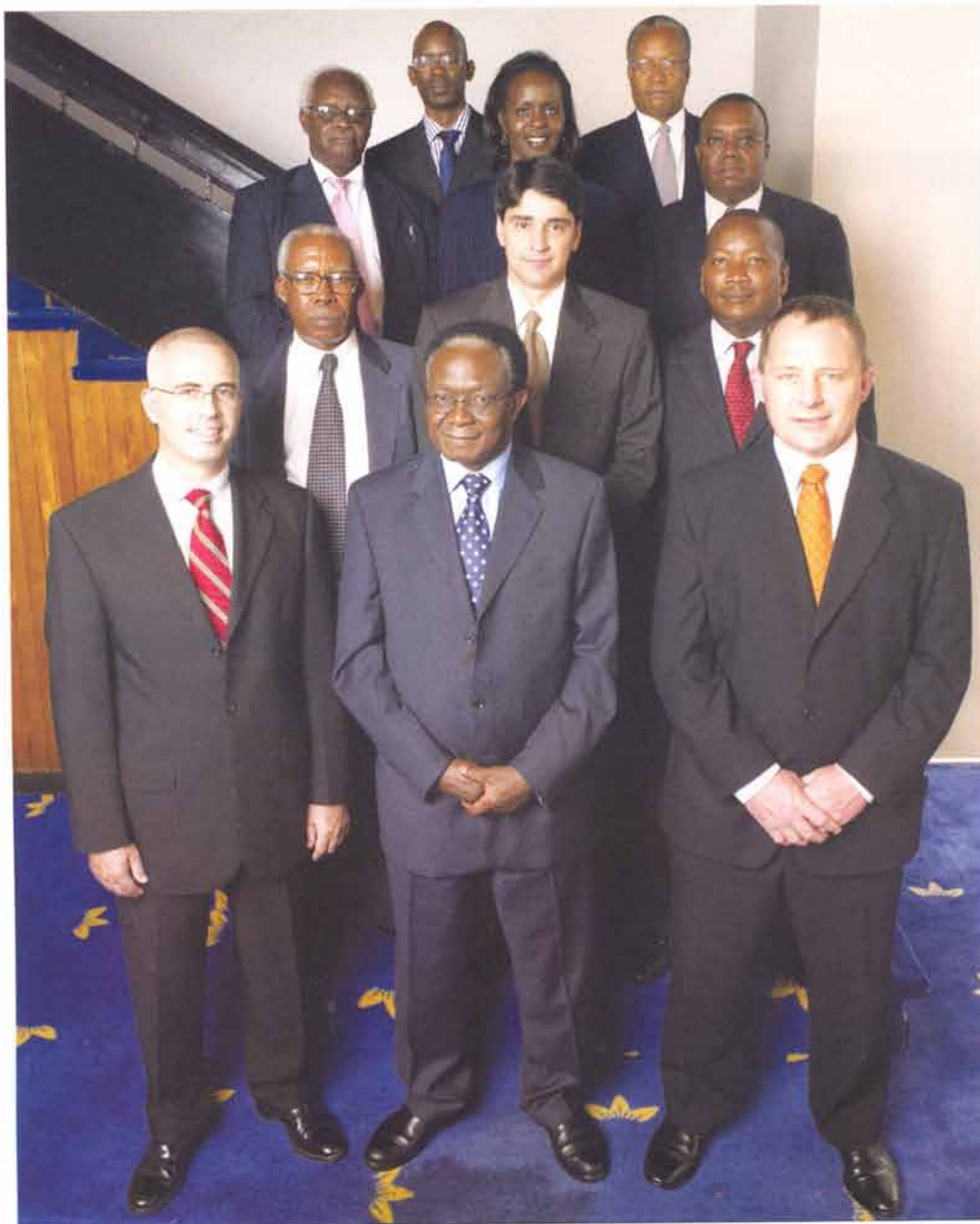
Contribution to Government Revenue



- Contribution to Government Revenue increased by 10% to Shs 4.7 billion



## Board of Directors



### **Front row from left**

Chris Burrell\* • Evanson Mwaniki\* (Chairman) • Simon Welford (Managing Director)

### **Second row from left**

Allan Ngugi\* • Luis Rapparini\* • Keli Kiilu (Corporate & Regulatory Affairs Director)

### **Third row from left**

Harris Mule\* • Philip Lopokoityit (Finance Director) • Ruth Ngobi (Company Secretary) • Prof. Joseph Kimura\*  
Michael Wanyoike\*

\*Non-Executive Director



## Notice of Annual General Meeting 2004

NOTICE IS HEREBY GIVEN that the Fifty-Second Annual General Meeting of British American Tobacco Kenya Limited will be held in the Ball Room, Hotel Intercontinental, Nairobi on Thursday, 22 April 2004 at 2.30 p.m. for the following purposes:-

### Ordinary Business

1. To receive and consider the Accounts for the year ended 31 December 2003 and the Reports of the Directors and Auditors thereon.
2. To declare a dividend.
3. To elect Directors:
  - (i) Mr. P. R. Lopokoiyit who was appointed by the Board on 1 January 2004 retires in accordance with Article 95 of the Articles of Association and being eligible, offers himself for re-election.
  - (ii) Mr. M.M. Wanyoike retires by rotation and being eligible offers himself for re-election in accordance with Article 89 of the Articles of Association.
  - (iii) Mr. S. A. Welford retires by rotation and being eligible offers himself for re-election in accordance with Article 89 of the Articles of Association.
  - (iv) Mr. C.M. Burrell retires by rotation and being eligible offers himself for re-election in accordance with Article 89 of the Articles of Association.
4. To authorise the Directors to fix the remuneration of the auditors, PricewaterhouseCoopers.

**12 March 2004**  
**Likoni Road,**  
**P. O. Box 30000-00100,**  
**Nairobi**

**By Order of the Board**  
**R T Ngobi**  
**Company Secretary**

### NOTES:

1. Any Member who is entitled to attend and vote at the Annual General Meeting is entitled to appoint a proxy to attend and vote in his stead. Such proxy need not be a member of the Company.
2. A proxy form is provided with this report. Shareholders who do not propose to be at the Meeting are requested to complete and return the form to the Registered Office of the Company so as to arrive not later than 2.30 p.m. on Wednesday, 21 April 2004.





## Chairman's Review \ Taarifa ya Mwenyekiti



### Business Environment

The business environment in 2003 experienced renewed optimism in the recovery and growth of the economy. This optimism was generated by the peaceful political transition at the close of 2002, the laudable policies and programmes put in place by the new Government and the pledges of substantial donor support. Inflation remained in single digits and bank lending rates, while remaining relatively high, maintained a downward trend. The Nairobi Stock Exchange recorded an all time high trading in stocks during 2003 with share prices of certain stocks recording phenomenal increases. The GDP growth rate for 2003 is estimated at 1.4%, reflecting a marginal increase of about 0.5% over the rate recorded in 2002.

The Government embarked on implementation of positive policies to create a favourable environment for investment. The anti corruption drive, revival and strengthening of institutions that serve key sectors of the economy, regular consultations with key stakeholders including the private sector and the fiscal incentives offered to Industry and Agriculture in the 2003 Budget are some of the initiatives undertaken. However, insecurity and poor road network remain major areas of concern.

In our industry, exhaustive consultations with the Government resulted in a fundamental reform of the excise tax policy. The old ad valorem excise tax system on cigarettes was replaced by a new specific tax system from mid 2003. There is clear evidence already that the new excise system (although increasing industry tax burden) is yielding higher tax revenues for the Exchequer while helping to level the playing field.

### Performance

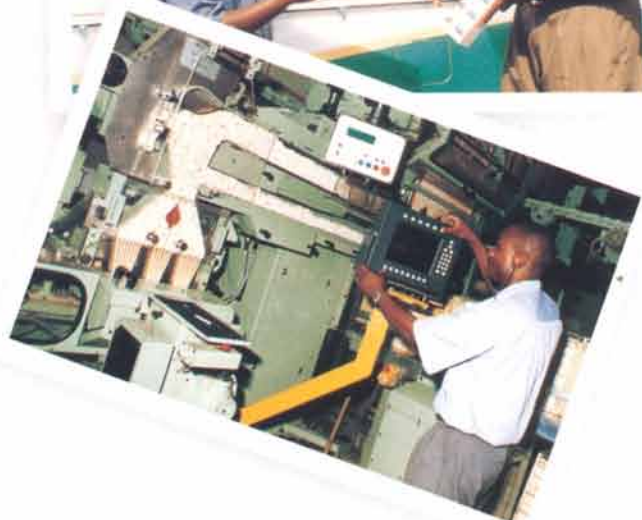
The overall domestic consumption of tobacco products stabilised in 2003. While consumer disposable incomes remained weak, our key brands performed well. Our share of market recovered by 5 percentage points, to close at 73% by the end of the year.

### Mazingira ya Kibiashara

Mwaka wa 2003 ulileta matumaini mapya ya ufufuzi na ukuaji wa kiuchumi katika mazingira yetu ya kibiashara. Matumaini haya yaliwezesha na mabadiliko ya kisiasa yaliyofanywa kwa njia ya amani mnamo mwisho wa mwaka wa 2002, mipango na sera nzuri zilizowekwa na serikali mpya na ahadi za kuungwa mkono na wafadhili. Kiwango cha gharama za maisha na riba kwa mikopo inayokopeshwa na benki kiliendelea kuwa cha juu, huku kikipungua pole pole. Biashara katika Soko la Hisa la Nairobi iliendelea kwa wingi wakati wote katika mlaka ya hivi punde, huku bei ya hisa ikongezeka. Pato la Taifa kwa mwaka wa 2003, linakisiwa kuwa asilimia 1.4 na kudhihirisha ongezeko la karibu asilimia 0.5 dhidi ya pato la mwaka wa 2002.

Serikali ilianzisha utekelezaji wa maongozi mwafaka ya kubuni mazingira bora kwa wawekezaji. Juhudi za kupambana na ufasidi, kufufua na kuimarisha Taasisi zinazohudumia sekta muhimu za kiuchumi, kushauriana mara kwa mara na wahusika dau muhimu ikiwemo sekta ya kibinafsi na vishawishi vilivyotolewa kwa sekta za Viwanda na Kilimo wakati wa bajeti ya mwaka wa 2003, ni baadhi ya jitihada zilizofanywa. Hata hivyo halli ya ukosefu wa usalama na barabara mbovu ndiyo matatizo makubwa yanayoendelea kukithiri.

Katika sekta yetu, mashauri kati yetu na serikali yaliwezesha kufanywa kwa marekebisho ya maongozi ya ushuru. Ushuru wa zamani wa sigara uliojulikana kama ad valorem excise tax system uliondolewa na mahala pake kuchukuliwa na ushuru mpya wa specific tax system, kuanzia kati kati ya mwaka wa 2003. Kuna ushahidi ulio wazi tayari kwamba ushuru huu mpya ingawa umeongezea mzigo wa ushuru kwa sekta hii, unaleta mapato zaidi ya ushuru kwa hazina kuu ya serikali huku ukisaidia kusawazisha utekelezaji biashara hii.





## Results

Gross turnover at Shs 9.4 billion was marginally higher than in 2002. However, pretax income increased by 28% to Shs 1.67 billion reflecting the impact of increased export sales, as well as the benefit of past years' overhead reduction initiatives and lower re-organisation costs.

## Strategy

The company carried out promotional activities to drive both value and volume share of the market. The community based Sportsman brand promotion, "Jenga Jina" where the winner got a cash prize and a project of choice for the community, boosted the performance of our key volume brand.

We completed phase I of our program of migrating additional contract manufacture into our Kenya operation with the launch of Burrus & Sons and John Player Gold Leaf. These brands were previously manufactured in Switzerland and the UK for export to the Horn of Africa. The decision to invest in machinery and resources to manufacture these brands in Kenya was driven by improved business prospects and support of the Government. This is a vote of confidence in British American Tobacco Kenya and the nation by our parent Group.

The company entered into a leaf growing partnership with long time tobacco merchant, Stancom Tobacco (Kenya) Ltd, who have opened up new areas in addition to taking up some of the existing regions. The tobacco grown by both companies is processed in the Thika Leaf Processing Plant out of which 60% is exported to overseas markets.

## Social Responsibility

Last year, the company initiated the Social Reporting process which is a new concept to Corporate organisations worldwide and indeed a first for any company in Kenya. Our company is set to join other BAT sister companies globally in this process. In simple terms, "Social Reporting" is a business practice that independently audits the conduct of an organisation. Through this process, British American Tobacco Kenya seeks to engage constructively with its stakeholders in collectively addressing the various issues raised about our business as well as about our environmental and social performance.

Our performance is independently verified and is reported publicly, thus making the organisation accountable for its ethical conduct in the same way that it is with its financial results.

## Kazi yetu:

Matumizi ya hapa nchini ya bidhaa za tumbaku yaliendelea kuimarika mwaka wa 2003. Huku mapato ya matumizi kwa wateja wetu yakiendelea kupungua, aina mbali mbali za bidhaa zetu ziliendelea kufurahiwa. Biashara yetu ilipata asilimia 5 ya pointi na kufikisha asilimia 73 kufikia mwisho wa mwaka.

## Matokeo:

Pato letu la shilingi bilioni 9.4 liliongezeka kidogo likilinganishwa na mwaka wa 2002. Hata hivyo pato letu kabla ya kutozwa ushuru liliongezeka kwa asilimia 28 hadi shilingi bilioni 1.67 kudhihirisha ongezeko la mauzo ya nje na vile vile faida ya miaka iliyopita, kupunguka kwa gharama za utendaji kazi na gharama za marekebisho.

## Mbinu:

Kampuni iliandaa shindano la kutangaza bidhaa zake, kueleza thamani na kiwango cha bidhaa zetu katika soko, ambavyo vyote vimeelezewa kwa kirefu katika taarifa ya uuzaji. Shindano la sigara aina ya Sportsman kwa jamii linalofahamika kama "Jenga Jina" ambalo mshindi alipata zawadi ya pesa taslimu na mradi wa jamii aliouchagua, iliimarisha uuzaji wa aina hii ya sigara.

Tulikamilisha awamu ya kwanza ya mradi wetu wa kuanzisha kandarasi zaidi hapa nchini kwa kuzindua aina ya sigara ya Burrus & Sons na ile ya John Player Gold Leaf. Aina hizi za sigara awali zilikuwa zikitengenezwa nchini Switzerland na Uingereza kwa uuzaji katika nchi za eneo la Upembe wa Afrika. Uamuzi wa kuleta mashine na rasilmali kutengeneza aina hizi za sigara hapa Kenya ulitokana na kuimarika kwa shughuli za kibiashara na kuungwa mkono na serikali. Hii ni ishara ya kuwa kampuni yetu kuu Uingereza, ina imani na kampuni ya British American Tobacco Kenya na Taifa kwa jumla.

Kampuni iliingia katika ushirikiano wa ukuzaji tumbaku na kampuni ya biashara ya tumbaku ya Stancom Tobacco (Kenya) Ltd ambayo imeanza ukuzaji wa tumbaku katika maeneo mapya.







## Chairman's Review \ Taarifa ya Mwenyekiti



We had extremely useful dialogue sessions with over 140 stakeholders from across the country which encompassed staff, farmers, suppliers, Government, associations and NGO groups.

### Corporate Governance

Being a publicly listed subsidiary of British American Tobacco Plc, our company adheres strictly to the Group's global standards and practices of good corporate governance. I am pleased to further confirm that our Company continues to embrace the principles of good corporate governance as issued by the Capital Markets Authority.

### Dividend

We are pleased to report that our company maintained a strong financial position in the year 2003. Given our robust financial health and strong cash flows, your Board of Directors recommends a final dividend of Shs 4.50 per Shs. 10 ordinary share. The final dividend is subject to withholding tax and will be paid on 23 April 2004 to the share holders on the share register at the close of business on 9 April 2004.

### Outlook

The prospects of recovery and growth of the national economy remains promising. Real growth of the economy is expected to be in the region of 3.5% in 2004. The growth will be underpinned by a modest recovery in agriculture, manufacturing, services, and public spending on infrastructure. Resumption of donor support projected at US\$ 4.3 billion over the next 3 years, will further accelerate economic recovery. Furthermore, the establishment of the East African Community customs union is expected to boost trade in the region.

Our business stands to gain from the anticipated recovery of the economy. Rising consumer incomes should boost domestic demand whilst on going investment in our Nairobi factory will increase capacity to manufacture much higher

kuongezea yale yaliyoko. Tumbaku inayokuzwa na kampuni zote mbili hutayarishwa katika kiwanda cha utayarishaji tumbaku cha Thika, ambapo asilimia 60 ya bidhaa hiyo huuzwa katika masoko ya ng'ambo.

### Jukumu la Kijamii:

Mwaka uliopita kampuni ilianzisha mpango wa kutoa taarifa kwa jamii, ambao ni hatua mpya kwa kampuni kote Ulimwenguni na ni wa kwanza kwa kampuni yoyote hapa nchini. Kampuni yetu itaungana na kampuni nyingine za BAT kote Ulimwenguni katika mpango huu wa kutoa taarifa kwa jamii. Kupitia mpango huu, kampuni ya British American Tobacco Kenya inatafuta kuwahusisha washirika dau wake kushughulikia maswala mbali mbali yanayogusiwa kuhusu biashara yetu, mazingira yetu na kazi yetu kwa jamii.

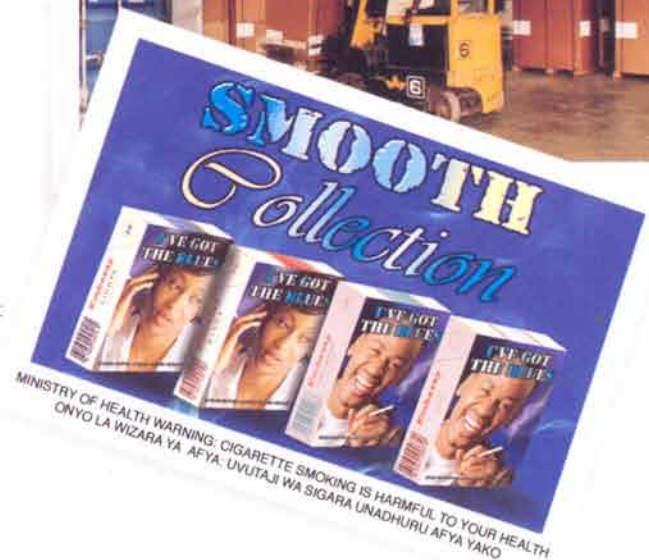
Kazi hii inakaguliwa kwa njia huru na kuelezewa hadharani, na kuifanya kampuni kuwa wazi na kuwajibika kwa maadili yake ya kikazi sawa na matokeo yake ya kifedha. Tulikuwa na vikao vya mashauri muhimu na zaidi ya washirika dau 140 kutoka kote nchini, kwa kuwajumuisha wafanyikazi, wakulima, wagawaji, serikali na vyama na makundi ya mashirika yasio ya serikali.

### Usimamizi wa Kampuni:

Tukiwa kampuni tanzu ya umma ya kampuni kuu ya British American Tobacco Plc, kampuni yetu inazingatia viwango vya kimataifa vya kampuni na usimamizi bora wa kampuni. Nina furaha kuthibitisha kwamba kampuni yetu inaendelea kuzingatia kanuni za usimamizi bora wa kampuni kama inavyohitajiwa na Halmashauri ya Usimamizi wa Masoko ya Hisa.

### Mgawo:

Tuna furaha kueleza kwamba kampuni yetu iliendelea kudumisha nafasi thabiti ya kifedha katika mwaka wa 2003. Kutokana na nafasi yetu thabiti ya kifedha na mtiririko wa pesa wenye nguvu,







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Kazi hii inakaguliwa kwa njia huru na kuelezewa hadharani, na kuifanya kampuni kuwa wazi na kuwajibika kwa maadili yake ya kikazi sawa na matokeo yake ya kifedha. Tulikuwa na vikao vya mashauri muhimu na zaidi ya washirika dau 140 kutoka kote nchini, kwa kuwajumuisha wafanyikazi, wakulima, wagawaji, serikali na vyama na makundi ya mashirika yasio ya serikali.

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### Mgawo:

Tuna furaha kueleza kwamba kampuni yetu iliendelea kudumisha nafasi thabiti ya kifedha katika mwaka wa 2003. Kutokana na nafasi yetu thabiti ya kifedha na mtiririko wa pesa wenye nguvu,





volumes of international brands for export to the neighbouring countries. There is evidence of much reduced unethical competition following the introduction of the specific excise tax system in June 2003. However, focus needs to be maintained on enforcement, especially of export procedures to prevent diversion of untaxed products to the domestic market. Additionally, control mechanisms, particularly tax stamps need to be re-launched to match advances in excise policy. These initiatives will further reduce unethical business practices and increase tax revenues to the Government.

Another issue which has a direct impact on our business is the proposed Tobacco Control Bill. We have made our submissions to the relevant authorities which we recommend be considered for inclusion into the Bill.

Our position is that we support the enactment of a realistic, workable and enforceable regulation that addresses health concerns whilst taking into account Kenya's socio-economic realities. The regulation should further ensure that all tobacco manufacturers behave in a responsible manner consistent with reasonable expectations of society.

#### **New Directors**

As I conclude, I welcome to the Board of British American Tobacco Kenya a new member, Mr. Philip Lopokoiyit who joined as of 1 January 2004. Philip assumes the role of Finance Director, the first Kenyan to hold this post. Former Finance Director, Luis Rapparini will continue to serve on the Board as a Non-Executive Director.

Finally, on behalf of the Board of Directors, I wish to thank all our stakeholders, staff, farmers, distributors and other business partners for their continued support.

**Evanson Mwaniki**  
Chairman



*Halmashauri ya wakurugenzi wenu imeidhinisha mgawo wa mwisho wa faida wa shilingi 4 na senti 50 kwa kila hisa ya kawaida ya shilingi 10. Mgawo huu utakatwa ushuru na utalipwa tarehe 23 Aprili 2004 kwa wenye hisa walioko kwenye sajili ya hisa kufikia wakati wa kufungwa kwa biashara hii hapo tarehe 9 Aprili 2004.*

#### **Mtazamo:**

*Matarajio ya kufufuka na kukua kwa uchumi wa Taifa yanaendelea kuwepo. Ukuaji halisi wa uchumi unatarajiwa kufika kima cha asilimia 3.5 mwaka huu wa 2004. Ukuaji huu utatokana na ufufuzi wa sekta za kilimo, utengenezaji bidhaa, huduma na matumizi ya uma kwa miundo msingi. Kurejeshwa kwa misaada ya wafadhili kunakotarajiwa kufikia dola bilioni 4.3 katika kipindi cha miaka mitatu kutaharakisha ufufuzi wa uchumi. Kadhalika, kubuniwa kwa muungano wa forodha wa Afrika Mashariki, kunatarajiwa kuimarisha biashara katika eneo hili.*

*Biashara yetu itapata faida kutokana na kufufuka kwa uchumi. Ongezeko la mapato kwa wateja wetu litaimarisha mahitaji, ilhali uwekezaji unaendelea katika kiwanda chetu cha Nairobi utaongeza kiwango cha utengenezaji kuwa kikubwa zaidi kwa bidhaa za kimataifa za kuuzwa katika nchi jirani. Kuna ushahidi wa kupungua kwa mashindano yasiyofaa kufuatia kuanzishwa kwa ushuru maalum ujulikanao kama specific excise tax system mwezi Juni mwaka wa 2003. Hata hivyo, hatua hii inahitaji kuzingatiwa hasa kwa taratibu za uuzaji nje ili kuzuia kuingizwa kwa bidhaa zisizotazwa ushuru katika soko la hapa nchini. Mtindo wa uthibiti zaidi hasa kwa stempu za ushuru unahitajika kuzinduliwa upya ili kutimiza maongozi ya ushuru. Juhudi hizi zitapunguza zaidi biashara zisizo halali na kuongeza mapato ya ushuru kwa Senkali.*

*Swala jingine lenye athari ya moja kwa moja kwa biashara yetu ni mswada uliopendekezwa wa uthibiti wa tumbaku. Tumewasilisha maoni yetu kwa wale wanaohusika tukitumai kuwa maoni hayo yatahusishwa kwenye mswada huo.*

*Msimamo wetu ni kuwa tunaunga mkono kubuniwa kwa sheria iliyo wazi, inayofaa na inayoweza kutekelezwa, ambayo itazingatia mahitaji ya afya huku ikizingatiwa hali ya kijamii na kiuchumi inayokabilili Kenya. Sheria hii inapaswa kuhakikisha kwamba watengenezaji wote wa bidhaa za tumbaku wanawajibika kwa matarajio muhimu ya jamii.*

#### **Wakurugenzi Wapya:**

*Nikikamilisha, namkaribisha kwa Halmashauri ya kampuni ya British American Tobacco Kenya, mwanachama mpya Bwana Philip Lopokoiyit, ambaye alijiunga tarehe 1 Januari 2004. Philip atachukua jukumu kama Mkurugenzi wa Fedha, mkenya wa kwanza kuhudumu katika wadhifa huu. Aliyekuwa mkurugenzi wa Fedha, Luis Rapparini ataendelea kuhudumu kwenye Halmashauri kama mkurugenzi asiyeendesha shughuli maalum za kampuni.*

*Mwisho, kwa niaba ya Halmashauri ya Wakurugenzi, nawashukuru wenye hisa wetu wote, wafanyikazi, wakulima, wagawaji na washirika wengine wa kibiashara kwa kuendelea kutuunga mkono.*

**Evanson Mwaniki**  
Mwenyekiti.





## Managing Director's Report



2003 was a year of good progress for your Company. Turnover recorded a small increase in an otherwise flat total market for tobacco products. Profit before tax increased by 28%, built upon increased export sales, the benefit of past year's restructurings flowing through into a reduced cost base and lower reorganisation costs.

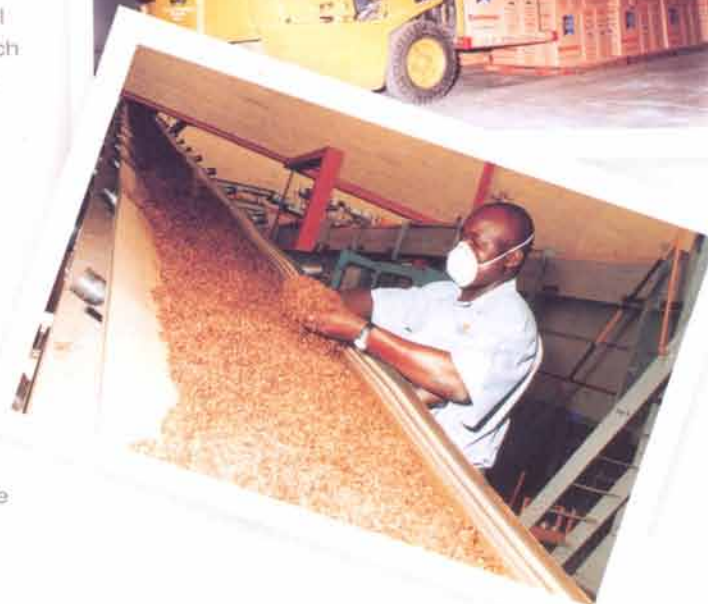
The principal driver of improved performance was the levelling of the competitive playing field in the tobacco industry. The fundamental shift in excise tax policy from an ad valorem system of collection of excise to a specific system of collection led to a reduction in the availability of extremely low price cigarettes in the market as the capacity for tax evasion by unethical manufacturers was reduced. Your Company benefited from this more levelled competitive environment as did the Government with tax revenues from the tobacco industry in the second half of the year improving significantly.

After six years of consecutive decline, the total market for tobacco products in Kenya stabilised during 2003. Whilst consumer disposable incomes still remain weak, the level of down-trading to very low priced products, a trend which has characterised the market in recent years, was much reduced due to more realistic industry pricing.

Company share of market increased during the year by five share points, closing the year at 73%. Our continued long term focus of our resources on our four key drive brands of Benson & Hedges, Embassy, Sportsman and Safari continues to prove highly successful. Together, the four brands which represent our current and future sources of profitability, captured additional market share and now represent 50% of the total cigarette market. Safari, our price fighter, grew impressively showing the brand's capacity to compete effectively in the lower price end of the market.

During the past three financial years, we have critically reviewed our productivity throughout the company taking a series of opportunities to restructure all functions to minimise our cost base and optimise our operational efficiency. These measures continued to bear fruit during 2003 with our cost base reduced by 10% compared to the prior year.

In 2002, we announced a major strategic initiative by the British American Tobacco Group that impacts favourably upon your Company. This is the establishment of our Nairobi factory as a centre of manufacturing excellence for Eastern Africa and the progressive migration of considerable volumes of production from European factories into local production. The brands are being manufactured under contract for supply to already established markets. During 2003, we commenced this two year project with the manufacture of two new brands, Burrus & Sons and John Player Gold Leaf. Further brands will commence manufacture in 2004 following the completion of a Shs 500m investment in new manufacturing capacity to ensure our product quality remains the match of any similar manufacturing facility anywhere in the world.





In tobacco growing, we embarked upon a new strategy of focussing growing on supplying domestic requirements. We entered into a partnership with our long time export agent, Stancom Tobacco (Kenya) Ltd, which enabled them to begin growing Flue Cured Virginia tobaccos for the first time. The partnership benefits farmers as it ensures continued rural income generation in all growing regions, ensures good capacity utilisation of our Thika green leaf processing plant whilst removing the commercial risk of exports to your Company.

We continue to support the delivery of sensible regulation in the tobacco sector. We are encouraged that suggestions that we have made for incorporation into a Tobacco Bill that will help deliver sensible and unambiguous legislation are being given consideration. We believe that this will contribute to ensuring that the entire tobacco industry behaves ethically and responsibly in a manner consistent with British American Tobacco's own International Marketing Standards.

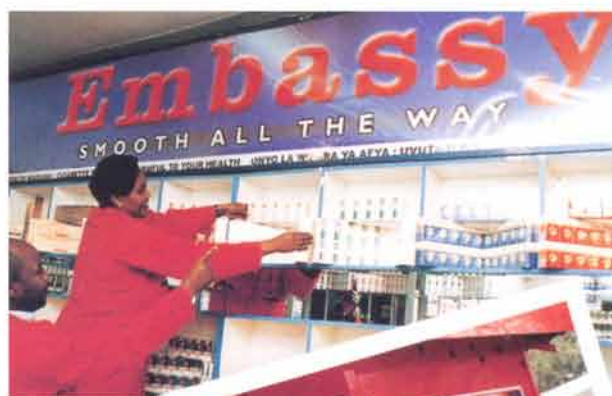
During the year, we embarked upon a process of Social Reporting, the first company in Kenya to do so. During a series of dialogue sessions, we engaged directly with a broad cross section of stakeholders over issues surrounding our business in a constructive and transparent manner. Our goal is to better understand our stakeholders so ensuring that we meet our commercial objectives in a manner consistent with reasonable public expectations of a responsible tobacco company.

Your Company improved its excellent credit rating from Global Credit Ratings with our long term rating improving to AA from AA (negative). This makes your Company the highest independently rated corporate in the country, a reflection of our strong management team and robust financial position.

Strong cashflows generated by your Company enable your Board of Directors to recommend a final dividend of Shs 4.50 per Shs 10 ordinary share. Together with interim dividends already paid, this represents total dividends per share of Shs 12.50 for 2003, up 39% on the prior year.

We believe that we will continue to meet the challenges that face us in 2004 and that we will continue to generate more value for all of our stakeholders.

The Management thanks each and every one of our customers, consumers, employees, valued business partners and shareholders, as well as the Board of Directors for their continued support and co-operation during 2003.







## Leaf Growing



In the 2003 season, your Company supported over 8,000 farmers who grew 4.7 m kgs of green leaf tobacco. This reflected a 4% expansion on the prior year with farmers earning over Shs 270 m in revenue from the crop. This represented a 32% increase on earnings principally driven by our successful "back to basics" campaign which drives crop quality improvements through all aspects of leaf growing and curing.

2003 saw further efforts through our extension services to drive quality and yield in order to further improve farmer income. This led to the re-introduction of medium term curing barn loans and a continued emphasis on agronomic best practices, ripe reaping and optimal curing.

Mid year, we announced an evolution in our leaf growing strategy. Commencing with the current cropping season, your Company will focus on growing tobacco for domestic manufacturing requirements. Stancom Tobacco (Kenya) Ltd, our export agents expanded their operations into Flue Cured Virginia tobacco growing in addition to the growing of Dark Fire Cured tobaccos which began in 2001. All tobaccos grown by Stancom will continue to be processed through our Thika green leaf processing plant. The partnership is beneficial to all parties concerned in that it removes export risk from your Company, earns a return on assets through optimisation of the Thika processing capacity and guarantees security of supply for domestic manufacture. For our farmers it assures the expansion of leaf growing in key growing areas.

Afforestation received continued focus with more emphasis placed on survivability of the raised seedlings to ensure the effectiveness of the program. During the year, the company raised and distributed to farmers and other interest groups over two million tree seedlings while the farmers themselves raised over 1.6 million tree seedlings with our support.

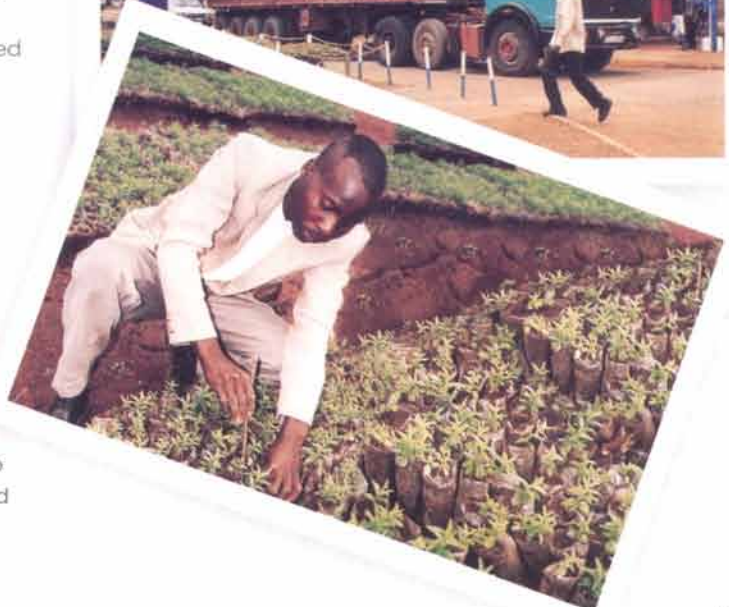
During 2004, our emphasis continues to be on producing quality tobaccos. This will be driven by a continuous improvement of the farmer base, enhanced farmer training by our expert extension staff and promotion of agronomic best practices.

### Leaf processing

The Thika green leaf processing plant processed a total of 22,000 tonnes of tobacco comprising of 6,200 tonnes from Kenya and a further 15,800 tonnes from within East and Central Africa.

In order to improve on efficiency, a number of non core processes were contracted out during the year. These included compound maintenance, factory cleaning and waste disposal. The plant continues to be a major source of seasonal employment within the Thika town offering up to 2,000 seasonal jobs at the peak time.

Leaf production has faced many challenges in the recent past but we are confident that with the present structure, focus on quality, the control of costs and the new partnership with Stancom, your Company will deliver quality competitive tobacco to the core business of cigarette manufacturing.





## Manufacturing and Supply Chain



### Manufacturing

During 2003, the Nairobi factory produced a total of 4.8 billion cigarettes to cater for the domestic market as well as export markets of Somalia, Uganda, Tanzania and the Democratic Republic of Congo. This represented a 3% increase over the previous year.

In late 2002, we announced an expansion in the role of the Nairobi factory to make it the preferred source of manufacture within Eastern Africa. During 2003, we invested in a new filter making machinery to further enhance our capability. We additionally purchased a new state-of-the-art cigarette manufacturing line, installation of which will be completed by mid 2004. In order to ensure sustained good performance, we implemented extensive training programs for our staff to broaden our skills base in all aspects of manufacturing.

As a direct consequence of the above, we received approval from the trademark owners to commence manufacture under contract of two new export brands – "Burrus and Sons" and "John Player Gold Leaf".

Manufacture of these brands constitutes the first phase of a program that is designed to transfer manufacture of a number of brands from European factories to the Nairobi factory. This strategic initiative seeks to take advantage of our cost effective manufacture, world class quality standards and proximity to the destination markets, which reduces supply chain complexity.

The second phase of this program which will involve significantly larger volumes will be implemented in the course of 2004.

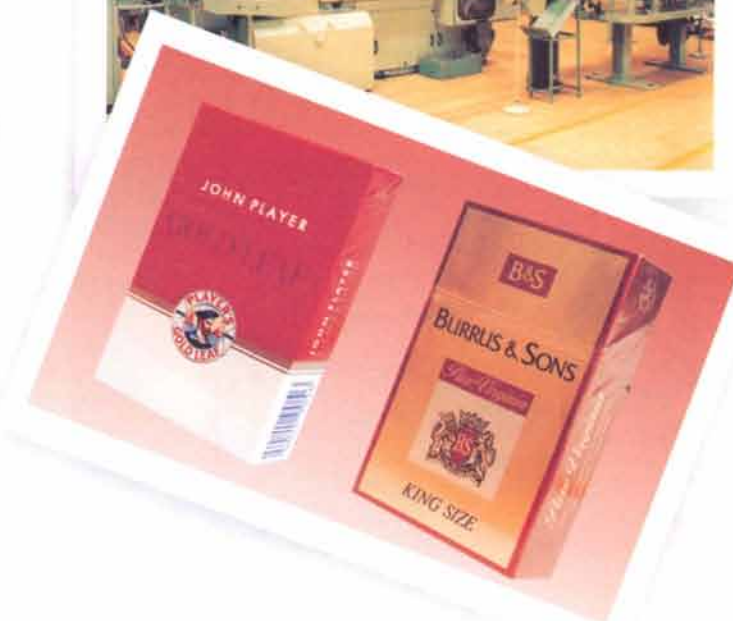
### Supply Chain

Performance improvement continued to be the key focus of our Supply Chain activities. All processes were aligned to stretching performance metrics and monitored monthly. During the year, we improved service delivery to our distributors, achieved better forecast accuracy and stimulated the release of working capital through optimisation of stock holding for wrapping materials and finished goods.

A production materials requirement planning system was connected to the British American Tobacco global material planning system to enhance the visibility by our key suppliers of our long range materials requirements. This enabled us to reduce our cost of wrapping materials.

Value adding activities including evaluation and appraisal of all key supply partners, tendering and contracts management were enhanced. There was better focus on the sourcing of indirect materials, realising significant cost savings during 2003.

Going forward, we shall continue to focus on our people and teams, benchmark our operations with other world class organisations and aim for collaboration with all the external partners to further enhance your Company's performance at every stage of the Supply Chain.







## Marketing Activities



In the Marketing arena, 2003 was a turnaround year. Your Company enhanced its market leadership position by increasing its share of the total cigarette market to 73% at the close of the year.

Despite increased optimism in the growth of the economy, consumer disposable incomes remained weak throughout the year resulting in the total market for cigarettes remaining flat.

The competitive environment remained intense, with interaction between brands predominantly taking place in the very low price segments where consumers are very sensitive to price.

The change in excise policy by Government led to more realistic pricing in the market and further improved Government revenue collections. The price changes led to changes in consumer buying patterns.

Our low price drive brand, Safari, the star performer in the market, accelerated its already strong annual growth rate.



Our marketing strategy which concentrates our resources on our 'drive brands' Benson & Hedges, Embassy, Sportsman and Safari continues to yield encouraging results.

The performance of the premium brand, Benson & Hedges, over the previous years was encouraging. Notwithstanding the difficult economic environment and its top of the market price positioning, the brand has continued to show commendable year-on-year growth in its four years since launch. The brand was supported through relevant consumer engagement activities and through tightly managed expansion of its distribution.

Embassy, our high priced offer grew moderately over the previous year with the volume performance increasingly dominated by the Embassy Lights variant which is the leading Lights offer in the market.

Sportsman, the leading brand in the market played a crucial role in driving overall company performance. The brand's share of market grew month-on-month, up two share points on the previous year. This is a commendable performance given the limited disposable income in the market and the availability of cheaper competitive offers.

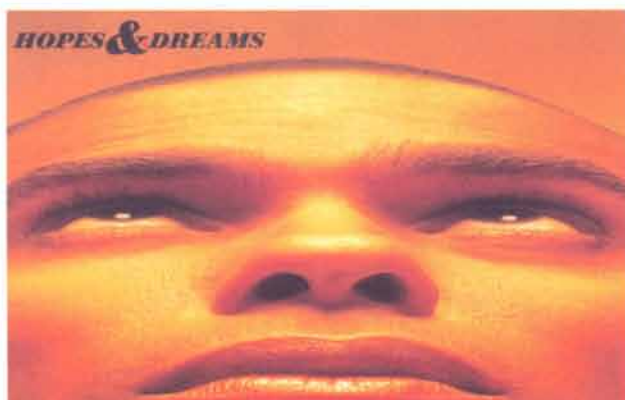




The "Jenga Jina Jenga Kenya" consumer promotion was the main promotional support to the brand in 2003 and generated record entries, clearly appealing to consumer aspirations. As in previous Jenga Jina promotions, draw winners won both individual and community prizes in this unique promotional format which blends corporate social responsibility together with brand marketing objectives. A total of 18 projects have been commissioned since the "Jenga Jina" concept was launched in 2002. Projects built have included clinics, community centers, water and electrification projects. "Jenga Jina Jenga Kenya" won the "best sales promotion" award at the 2003 Marketing Society of Kenya annual gala event.

Whilst our focus remains on driving volumes of our drive brands, secondary brands were not overlooked as sources of volume. Our lead plain cigarette, Rooster, benefited from localised promotional support in its key areas of demand.

Distribution remained the key pillar of marketing. Effective distribution of our brands in all channels and within all



MINISTRY OF HEALTH WARNING: CIGARETTE SMOKING IS HARMFUL TO YOUR HEALTH  
ONYO LA WIZARA YA AFYA: UVUTAJI WA SIGARA UNADHURU AFYA YAKO

sections of the market remained a key priority with ongoing investment in distribution tools including vans, motorbikes and bicycles. Trade initiatives gave particular focus to the more competitive rural and lower income urban areas. These projects generated positive returns through reduced out of stock situations particularly in those regions where capital outlay restricts the amount retailers can purchase at one time. Within urban centers, focus was on ensuring that retailers, were well served and opportunities to increase listing of our brands optimised. Kiosks remain a key channel for distribution of our products as well as a primary communication medium for the Sportsman brand. We continued to invest in our distribution network, ensuring that outlets remained in good repair,

We are pleased with the performance of our brand portfolio in 2003. The leveling of the competitive playing field has been the key to growth whilst the velocity of share of market recovery in the second half of 2003 was particularly commendable. We are confident that the current focus of our marketing strategy will enable your company to fully benefit from the anticipated recovery in consumer disposable incomes in 2004.

A vertical poster for the 'Jenga Jina' campaign. It features two photographs of community projects. The top photo shows a laboratory building with the text: 'THANKS TO MR ANTHONY KASILI, MUKURWE-ONE COMMUNITY NOW HAS A LABORATORY BUILDING WORTH KSH. 100,000/-'. The bottom photo shows a water tank tower with the text: 'THANKS TO HELEN KAMALI, HEKIMA COMMUNITY IN NAKURU NOW HAS A WATER TANK TOWER AND PUMP SYSTEM WORTH KSH. 100,000/-'. At the bottom, the 'JENGA JINA' logo is displayed with the tagline 'TRUE SPIRIT. TRUE TASTE.' Below the logo, a health warning is printed in English and Swahili: 'MINISTRY OF HEALTH WARNING: CIGARETTE SMOKING IS HARMFUL TO YOUR HEALTH ONYO LA WIZARA YA AFYA: UVUTAJI WA SIGARA UNADHURU AFYA YAKO'.





## Corporate and Regulatory Affairs



### Investing in Society

In line with the Group's Corporate Social Responsibility Principles, during 2003, your Company continued to invest in programmes and projects in support of the communities in which we operate. For the fifth year in a row, your Company, in partnership with the East African Community sponsored the East African Jua Kali exhibition which took place in Dar es Salaam, Tanzania. The exhibitions which are aimed at promoting the small and micro enterprises have given the informal sector impetus for growth.

Last year, your Company remained the lead partner in the Kerio Tradewinds programme, supporting the Government's strategy for creating employment and wealth creation. The programme has now been handed over to the community who now have the momentum to continue expanding it.

British American Tobacco Kenya continued being a prominent corporate member of the Agricultural Society of Kenya and participated as exhibitors in the four major shows of Nakuru, Kisumu, Mombasa and Nairobi. It also made various donations and sponsorship to the Agricultural Society of Kenya in form of infrastructural maintenance of the gates, pavilions and sponsoring the British American Tobacco Day at the Nairobi International Trade Fair.

### Responsible Marketing

In line with your Company's belief that smoking is an informed adult choice and that children should not smoke, your Company continued with the Youth Smoking Prevention programme through sponsoring the National Drama Festivals and President's Award, in partnership with the Ministry of Education. In addition, the Company continued to work with the retailers to educate them not to sell cigarettes to minors.

### Social Reporting

British American Tobacco is in an industry seen by many as controversial and since we manufacture a product that calls for responsible marketing, we endeavour to conduct our business in a manner that meets the reasonable expectations of the society in which we operate. Last year, your company went through the Social Reporting Process. The process is about listening and responding to stakeholders' concerns. It is a continuous process that enables the company to gather views about its business, ethical, environmental and social conduct in relation to its stakeholders. Management team members held four dialogue meetings with stakeholders from across Kenya, during which they gathered views about the company's operations, what we are doing right, what we need to change and how stakeholder partnerships can be strengthened for the mutual benefit of all.

Out of these dialogue meetings, the company was able to gauge the perception of its public and will make use of the criticism and praise it received to further enhance its business. The process gave stakeholders a unique opportunity to communicate with and influence the company within a framework of mutual trust and respect. A "Report to Society", which is an account of the proceedings of the dialogue sessions has been published.





## Corporate Governance

### Corporate Governance

British American Tobacco Kenya is committed to the highest standards of corporate governance. Its governance structure is flexible enough to adapt to changes in the internal and external environment and the company regularly reviews its processes, rules, regulations and structure with a view to ensuring the best performance of the Board, Board Committees and overall management of the business.

British American Tobacco Kenya strictly adheres to the group's global standards and practices of good corporate governance. The Board of Directors confirms that it has embraced the principles of corporate governance issued by the Capital Markets Authority.

Key aspects of our approach to corporate governance are outlined below:

### The Board of Directors

The Board meets at least five times a year. The current membership of Executive and Non-Executive appears later in the report.

The Board provides overall strategic direction, reviews performance, takes material policy decisions and gives guidance on general policy. Responsibility for implementing strategy and day-to-day operations is delegated by the Board to the Managing Director and the top management team (Kenya Strategy Team). This team meets monthly.

The Board is responsible for the overall system of internal control and for reviewing the effectiveness of these controls to provide reasonable assurance of their effective and efficient operation.

### Board Committees

The Audit Committee is chaired by the Non-Executive Chairman of the Board of Directors, Mr. Evanson Mwaniki. It meets three times a year with internal and external auditors, as well as management, to review the effectiveness of internal controls. Any matters raised in the regular reports to the Committee and the full year financial statements prior to the submission to the Board.

The Board Compensation Committee is also chaired by Mr. Evanson Mwaniki. It approves remuneration policy for employees, management and Non-Executive Directors.

The Nominations Committee is further chaired by Mr. Evanson Mwaniki. It recommends to the Board candidates for appointment to the Board and evaluates and recommends the composition of all Board Committees. In so doing, it monitors and ensures that appropriate independent, Non-Executive and Executive Director ratios are maintained. The Nominations Committee also evaluates and reports to the Board on an annual basis the effectiveness of the Board and the effectiveness of the Directors in the discharge of their responsibilities.

The Corporate Social Responsibility Committee chaired by the Managing Director seeks to ensure that the company's social and environmental performance is effectively managed and is consistent with expectations of a responsible Company.

### Provident Funds

The two British American Tobacco Provident Funds are under the stewardship of a joint Board of Trustees. Chaired by Non-Executive Director Mr. Michael Wanyoike, the Board of Trustees includes representatives of employees and management as well as executive and Non-Executive Directors. Both Funds are compliant with the governance requirements of the Retirement Benefits Act.

### Corporate Citizenship

British American Tobacco Kenya has adopted a structured approach to environmental, health and safety management in compliance with the group's best practice from all global operations.

The company supports numerous social responsibility initiatives in Kenya including providing support to the Jua Kali sector, The Agricultural Society of Kenya and afforestation. Total contributions to these and other worthy initiatives amounted to Shs 42 million in 2003. The Company made no donations for any political purposes.

### Employees

British American Tobacco Kenya actively encourages dialogue and participation in the Company's business through regular team briefs, internal publications, employee surveys and regular meetings with employees and their representatives. The Company's employment policy includes commitments to recruit people on the basis of their ability and equal opportunities.





## Shareholding Structure

### Major Shareholders

| Shareholder                                                   | No. of Shares    | % Holding |
|---------------------------------------------------------------|------------------|-----------|
| Molenssteegh Invest VB .....                                  | 60,000,000 ..... | 60.00     |
| Board of Trustees National Social Security Fund .....         | 20,000,000 ..... | 20.00     |
| Barclays (Kenya) Nominees Limited A/C 1256 .....              | 996,666 .....    | 1.00      |
| Old Mutual Life Assurance Company Limited A/C 0469950 .....   | 980,138 .....    | 0.98      |
| Kenya Commercial Bank Nominees Ltd A/C 744 .....              | 896,617 .....    | 0.90      |
| Barclays (Kenya) Nominees Limited A/c 1853 .....              | 785,000 .....    | 0.80      |
| Stanbic Nominees Kenya A/C SCKPF .....                        | 513,175 .....    | 0.51      |
| Old Mutual Life Assurance Company Limited .....               | 501,097 .....    | 0.50      |
| Mahendra Fulchand Gandhi & Mrs. Malvika Mahendra Gandhi ..... | 404,564 .....    | 0.40      |
| Barclays (Kenya) Nominees Limited A/C 9230 .....              | 399,866 .....    | 0.40      |
| Others .....                                                  | 14,522,877 ..... | 14.51     |

### Summary of Shareholders

| Shareholders       | No. of Shareholders | Shares            | % Holding |
|--------------------|---------------------|-------------------|-----------|
| Kenyans .....      | 4,733 .....         | 39,912,276 .....  | 39.91     |
| Foreign .....      | 26 .....            | 60,036,526 .....  | 60.04     |
| East African ..... | 22 .....            | 51,198 .....      | 0.05      |
| Total .....        | 4,781 .....         | 100,000,000 ..... | 100.00    |

### Distribution of Shareholders

| Share Holding              | No. of Shareholders | No. of Shares Held | % Share Holding |
|----------------------------|---------------------|--------------------|-----------------|
| No. of Shares              |                     |                    |                 |
| Less than 500 .....        | 2,062 .....         | 615,440 .....      | 0.62            |
| 501 to 5,000 .....         | 2,348 .....         | 3,759,087 .....    | 3.76            |
| 5,001 to 10,000 .....      | 161 .....           | 1,122,181 .....    | 1.12            |
| 10,001 to 100,000 .....    | 179 .....           | 5,023,001 .....    | 5.02            |
| 100,001 to 1,000,000 ..... | 29 .....            | 9,480,291 .....    | 9.48            |
| above 1,000,000 .....      | 2 .....             | 80,000,000 .....   | 80.00           |
| Total .....                | 4,781 .....         | 100,000,000 .....  | 100.00          |

\*Based on the share register as at 12 March 2004

**www.bat.com**

Further information on the British American Tobacco Group is available from the Group website: [www.bat.com](http://www.bat.com)



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## Directors and Advisors

### Directors

|                   |                                           |
|-------------------|-------------------------------------------|
| Mr E Mwaniki*     | (Chairman)                                |
| Mr S A Welford    | (Managing Director)                       |
| Mr P R Lopokoiyit | (Finance Director) - Appointed 1.1.2004   |
| Mr K Kiilu        | (Corporate & Regulatory Affairs Director) |
| Mr C M Burrell*   |                                           |
| Mr L C Rapparini* |                                           |
| Mr M M Wanyoike*  |                                           |
| Mr A N Ngugi*     |                                           |
| Prof J H Kimura*  |                                           |
| Mr H M Mule*      |                                           |

### Audit Committee

|                          |
|--------------------------|
| Mr E Mwaniki* (Chairman) |
| Mr C M Burrell*          |
| Mr S A Welford           |
| Mr P R Lopokoiyit        |
| Mr L C Rapparini*        |
| Prof J H Kimura*         |
| Mr H M Mule*             |
| Mr S Mugwe               |
| Mr E Irungu (Secretary)  |

### Nominations Committee

|                          |
|--------------------------|
| Mr E Mwaniki* (Chairman) |
| Mr A N Ngugi*            |
| Mr C M Burrell*          |
| Mr S A Welford           |

### Board Compensation Committee

|                          |
|--------------------------|
| Mr E Mwaniki* (Chairman) |
| Mr C M Burrell*          |
| Mr S A Welford           |
| Mr L C Rapparini*        |
| Mr M M Wanyoike*         |
| Mr M Owor                |
| Mr D Kiambi (Secretary)  |

### Corporate Social Responsibility Committee

|                        |
|------------------------|
| Mr S A Welford         |
| Mr K Kiilu (Secretary) |
| Mr K Nguru             |
| Mr M M Wanyoike*       |
| Mr D Kiambi            |
| Mr S Mugwe             |
| Mr E Irungu            |

### Auditors

PricewaterhouseCoopers,  
Rahimtulla Tower, Upper Hill Road,  
PO Box 43963-00100,  
NAIROBI.

### Advocates

Kaplan & Stratton,  
Queensway House,  
Kaunda Street,  
PO Box 40111-00100,  
NAIROBI.

### Transfer Agents

Barclays Advisory & Registrar Services Limited,  
Bank House, Moi Avenue,  
PO Box 30120-00100,  
NAIROBI.

### Bankers

Barclays Bank of Kenya Limited  
Citibank N.A.  
Commercial Bank of Africa Limited  
Credit Agricole Indosuez  
Stanbic Bank Kenya Limited  
Standard Chartered Bank Kenya Limited

### Secretary and Registered Office

Mrs R T Ngobi,  
Likoni Road,  
PO Box 30000-00100,  
NAIROBI.  
Telephone: 69042000.

\* Non-Executive Directors



## Directors' Report

The directors submit their report together with the audited financial statements for the year ended 31 December 2003 which disclose the state of affairs of the company and the group.

### Principal activities

The principal activities of the group are the manufacture and sale of cigarettes and tobacco.

| Results and dividends                         | Shs'000          |
|-----------------------------------------------|------------------|
| Net profit for the year                       | 1,140,021        |
| <b>Dividends:</b>                             |                  |
| Interim dividends of Shs 8.00 per share       | 800,000          |
| Proposed final dividend of Shs 4.50 per share | 450,000          |
|                                               | <u>1,250,000</u> |

### Financial risk management objectives and policies

The company's activities expose it to a variety of financial risks, including credit risk, foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance within the options available in Kenya to hedge against such risks.

### Board of Directors

The following changes have taken place in the Board of Directors since the last Annual General Meeting:

Mr. P. R. Lopokoiyit was appointed to the Board on 1 January 2004 in accordance with Article 95 of the Articles of Association.

In accordance with Article 89 of the Articles of Association, Messrs M. M. Wanyoike, S. A. Welford and C. M. Burrell, retire from the Board by rotation at the Annual General Meeting and, being eligible, offer themselves for re-election.

In accordance with Article 95 of the Articles of Association, Mr. P. R. Lopokoiyit retires from the Board at the Annual General Meeting and, being eligible, offers himself for re-election.

### Auditors

The company's auditors, PricewaterhouseCoopers continue in office in accordance with Section 159(2) of the Companies Act.

By Order of the Board

R T Ngobi  
Company Secretary  
12 March 2004

## Ripoti ya Wakurugenzi

Wakurugenzi wanatoa Ripoti yao na Hesabu za fedha zilizokaguliwa kwa mwaka uliomalizika Desemba 31 2003.

### Shughuli muhimu za kundi la makampuni

Shughuli muhimu za kundi la makampuni ni utengenezaji na uuzaji wa sigara na tumbaku.

| Faida iliyopatikana                                           | Shs'000          |
|---------------------------------------------------------------|------------------|
| Faida iliyopatikana katika mwaka huo baada ya kodi ilikuwa    | 1,140,021        |
| <b>Migawo ya faida kwa wenyehisa:</b>                         |                  |
| Mgawo wa muda wa shilingi 8.00 kwa kila hisa                  | 800,000          |
| Mgawo wa mwisho unaopendekezwa wa shilingi 4.50 kwa kila hisa | 450,000          |
|                                                               | <u>1,250,000</u> |

### Maongozi na Maudhui ya kukabiliana na hatari za usimamizi wa fedha

Shughuli za kampuni hii zinaifanya kuwa wazi kwa hatari mbali mbali za kifedha, ikiwemo hatari ya mikopo, viwango vya ubadilishanaji pesa za kigeni na viwango vya riba. Mradi wa kukabiliana na usimamizi wa hatari za kampuni kwa jumla, unazingatia hali isiyoweza kubashiriwa ya masoko ya kifedha na unatafuta kupunguza athari, zinazoweza kuwepo kuhusu hali yake ya kifedha kuambatana na nafasi zilizoko hapa nchini Kenya ili kuzuia hatari kama hizo.

### Halmashauri ya Wakurugenzi

Tangu Mkutano Mkuu wa mwaka jana mabadiiiko yafuatayo yametokea katika Halmashauri ya Wakurugenzi.

Bw. P. R. Lopokoiyit aliteuliwa mkurugenzi tarehe 1 Januari 2004 kwa mujibu wa kifungu 95 cha Katiba ya Kampuni.

Kwa mujibu wa kifungu 89 cha Katiba ya Kampuni Mabw. M M Wanyoike, S. A. Welford na C. M. Burrell wastaafu kwa zamu katika Mkutano Mkuu wa Mwaka na, kwa vile wanastahili, wanajitolea kuchaguliwa tena.

Kwa mujibu wa kifungu 95 cha Katiba ya Kampuni Bw. P. R. Lopokoiyit atastaafu katika Mkutano Mkuu wa Mwaka na, kwa vile anastahili, anajitolea kuchaguliwa tena.

### Wakaguzi wa hesabu

PricewaterhouseCoopers wataendelea na ukaguzi wa vitabu kwa mujibu wa kifungu cha 159(2) cha Sheria za Makampuni.

Kwa Amri ya Halmashauri

R T Ngobi  
Katibu wa Kampuni  
12 Machi 2004





## Statement of Directors' Responsibilities

The Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the company and the group as at the end of the financial year and of the group profit or loss. It also requires the directors to ensure that the company keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements of the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and the group and of the profit of the group. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.

S A Welford  
**Managing Director**

L C Rapparini  
**Director**

12 March 2004



## Auditors' Report

### **REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF BRITISH AMERICAN TOBACCO KENYA LIMITED**

We have audited the financial statements of British American Tobacco Kenya Limited for the year ended 31 December 2003, set out on pages 22 to 38.

#### **Respective responsibilities of directors and auditors**

The directors are responsible for the preparation of financial statements as set out on page 20. Our responsibility is to express an independent opinion on the financial statements based on our audit.

#### **Basis of opinion**

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement. An audit includes an examination, on a test basis, of evidence supporting the amounts and disclosures in the financial statements. It also includes an assessment of the accounting policies used and significant estimates made by the directors, as well as an evaluation of the overall presentation of the financial statements.

We have obtained all the information and explanations that to the best of our knowledge and belief were necessary for the purposes of our audit and believe that our audit provides a reasonable basis for our opinion.

#### **Opinion**

In our opinion proper books of account have been kept and the financial statements give a true and fair view of the state of the financial affairs of the group and company as at 31 December 2003 and of the profit and cash flows of the group for the year then ended and comply with International Financial Reporting Standards and the Kenyan Companies Act. The balance sheet of the company is in agreement with its books of accounts.

PricewaterhouseCoopers  
Certified Public Accountants  
Nairobi

12 March 2004





## Consolidated Profit and Loss Account

For the year ended 31 December 2003

|                                            | Notes | 2003<br>Shs'000 | 2002<br>Shs'000 |
|--------------------------------------------|-------|-----------------|-----------------|
| <b>Gross turnover</b>                      |       | 9,446,056       | 9,422,530       |
| Excise duty and value added tax            |       | (4,128,140)     | (4,008,074)     |
| <b>Net turnover</b>                        |       | 5,317,916       | 5,414,456       |
| Cost of operations                         | 1     | (3,575,113)     | (3,955,060)     |
| Reorganisation costs                       | 2     | (66,333)        | (160,388)       |
| <b>Operating profit</b>                    | 3     | 1,676,470       | 1,299,008       |
| Finance income                             | 5     | 1,125           | 11,415          |
| <b>Profit before tax</b>                   |       | 1,677,595       | 1,310,423       |
| Tax                                        | 6     | (537,574)       | (487,303)       |
| <b>Net profit</b>                          |       | 1,140,021       | 823,120         |
| <b>Earnings per share</b>                  |       |                 |                 |
| Basic and diluted earnings per share (Shs) | 8     | 11.40           | 8.23            |
| <b>Dividends</b>                           |       |                 |                 |
| Interim dividends - paid in the year       | 7     | 800,000         | 650,000         |
| Proposed final dividend for the year       | 7     | 450,000         | 250,000         |
|                                            |       | 1,250,000       | 900,000         |



## Consolidated Balance Sheet

As at 31 December 2003

|                                 | Notes | 2003<br>Shs'000  | 2002<br>Shs'000  |
|---------------------------------|-------|------------------|------------------|
| <b>CAPITAL EMPLOYED</b>         |       |                  |                  |
| Share capital                   | 9     | 1,000,000        | 1,000,000        |
| Share premium                   |       | 23               | 23               |
| Revaluation surplus             | 10    | 769,383          | 829,489          |
| Retained earnings               |       | 1,981,425        | 2,031,298        |
| Proposed dividends              | 7     | 450,000          | 250,000          |
| <b>Shareholders' funds</b>      |       | <b>4,200,831</b> | <b>4,110,810</b> |
| <b>Non-current liabilities</b>  |       |                  |                  |
| Retirement benefits obligation  | 11    | 120,384          | 118,641          |
| Deferred tax                    | 12    | 485,906          | 505,124          |
|                                 |       | <b>4,807,121</b> | <b>4,734,575</b> |
| <b>REPRESENTED BY:</b>          |       |                  |                  |
| <b>Non-current assets</b>       |       |                  |                  |
| Property, plant and equipment   | 13    | 3,552,077        | 3,421,542        |
| Prepaid operating lease rentals | 14    | 219              | 223              |
|                                 |       | <b>3,552,296</b> | <b>3,421,765</b> |
| <b>Current assets</b>           |       |                  |                  |
| Inventories                     | 15    | 1,277,949        | 1,426,257        |
| Receivables and prepayments     | 16    | 572,482          | 1,017,926        |
| Cash and bank balances          | 18    | 953,342          | 447,848          |
|                                 |       | <b>2,803,773</b> | <b>2,892,031</b> |
| <b>Current liabilities</b>      |       |                  |                  |
| Payables and accrued expenses   | 17    | 1,504,979        | 1,367,528        |
| Current tax                     |       | 43,969           | 211,693          |
|                                 |       | <b>1,548,948</b> | <b>1,579,221</b> |
| <b>Net current assets</b>       |       | <b>1,254,825</b> | <b>1,312,810</b> |
|                                 |       | <b>4,807,121</b> | <b>4,734,575</b> |

The accounts on pages 22 to 38 were approved for issue by the board of directors on 12 March 2004 and signed on its behalf by:

S A Welford

Managing Director

L C Rapparini

Director





## Company Balance Sheet

As at 31 December 2003

|                                 | Notes | 2003<br>Shs'000  | 2002<br>Shs'000  |
|---------------------------------|-------|------------------|------------------|
| <b>CAPITAL EMPLOYED</b>         |       |                  |                  |
| Share capital                   | 9     | 1,000,000        | 1,000,000        |
| Share premium                   |       | 23               | 23               |
| Revaluation surplus             | 10    | 769,383          | 829,489          |
| Retained earnings               |       | 1,981,425        | 2,031,298        |
| Proposed dividends              | 7     | 450,000          | 250,000          |
| <b>Shareholders' funds</b>      |       | <b>4,200,831</b> | <b>4,110,810</b> |
| <b>Non-current liabilities</b>  |       |                  |                  |
| Retirement benefits obligation  | 11    | 120,384          | 118,641          |
| Deferred tax                    | 12    | 485,906          | 515,235          |
|                                 |       | <b>4,807,121</b> | <b>4,734,575</b> |
| <b>REPRESENTED BY:</b>          |       |                  |                  |
| <b>Non-current assets</b>       |       |                  |                  |
| Property, plant and equipment   | 13    | 3,552,077        | 3,421,542        |
| Prepaid operating lease rentals | 14    | 219              | 223              |
| Investment in subsidiaries      |       | 12,000           | 12,000           |
|                                 |       | <b>3,564,296</b> | <b>3,433,765</b> |
| <b>Current assets</b>           |       |                  |                  |
| Inventories                     | 15    | 1,277,949        | 1,426,257        |
| Receivables and prepayments     | 16    | 534,868          | 974,043          |
| Cash and bank balances          |       | 879,134          | 419,705          |
|                                 |       | <b>2,691,951</b> | <b>2,820,005</b> |
| <b>Current liabilities</b>      |       |                  |                  |
| Payables and accrued expenses   | 17    | 1,444,243        | 1,360,064        |
| Current tax                     |       | 4,883            | 159,131          |
|                                 |       | <b>1,449,126</b> | <b>1,519,195</b> |
| <b>Net current assets</b>       |       | <b>1,242,825</b> | <b>1,300,810</b> |
|                                 |       | <b>4,807,121</b> | <b>4,734,575</b> |

The accounts on pages 22 to 38 were approved for issue by the board of directors on 12 March 2004 and signed on its behalf by:

S A Welford

Managing Director

L C Rapparini

Director



## Consolidated Statement of Changes in Equity

For the year ended 31 December 2003

| Notes                                                            | Share capital<br>Shs'000 | Share premium<br>Shs'000 | Revaluation surplus<br>Shs'000 | Retained earnings<br>Shs'000 | Proposed dividends<br>Shs'000 | Total<br>Shs'000 |
|------------------------------------------------------------------|--------------------------|--------------------------|--------------------------------|------------------------------|-------------------------------|------------------|
| <b>Year ended 31 December 2002</b>                               |                          |                          |                                |                              |                               |                  |
| At start of year                                                 | 1,000,000                | 23                       | 817,650                        | 2,087,030                    | 210,000                       | 4,114,703        |
| Transfer of excess depreciation                                  | -                        | -                        | (30,212)                       | 30,212                       | -                             | -                |
| Deferred tax on transfer                                         | -                        | -                        | 9,064                          | (9,064)                      | -                             | -                |
| Revaluation surplus                                              | -                        | -                        | 47,124                         | -                            | -                             | 47,124           |
| Deferred tax on revaluation                                      | -                        | -                        | (14,137)                       | -                            | -                             | (14,137)         |
| Net gains/(losses) not recognised in the profit and loss account | -                        | -                        | 11,839                         | 21,148                       | -                             | 32,987           |
| Net profit                                                       | -                        | -                        | -                              | 823,120                      | -                             | 823,120          |
| Dividends:                                                       |                          |                          |                                |                              |                               |                  |
| - Final for 2001                                                 | -                        | -                        | -                              | -                            | (210,000)                     | (210,000)        |
| - Interim for 2002                                               | -                        | -                        | -                              | (650,000)                    | -                             | (650,000)        |
| - Proposed final for 2002                                        | -                        | -                        | -                              | (250,000)                    | 250,000                       | -                |
| At end of year                                                   | 1,000,000                | 23                       | 829,489                        | 2,031,298                    | 250,000                       | 4,110,810        |
| <b>Year ended 31 December 2003</b>                               |                          |                          |                                |                              |                               |                  |
| At start of year                                                 | 1,000,000                | 23                       | 829,489                        | 2,031,298                    | 250,000                       | 4,110,810        |
| Transfer of excess depreciation                                  | -                        | -                        | (36,389)                       | 36,389                       | -                             | -                |
| Deferred tax on transfer                                         | -                        | -                        | 10,917                         | (10,917)                     | -                             | -                |
| Transfer of prior years' deferred tax                            | -                        | -                        | (34,634)                       | 34,634                       | -                             | -                |
| Net gains/(losses) not recognised in the profit and loss account | -                        | -                        | (60,106)                       | 60,106                       | -                             | -                |
| Net profit                                                       | -                        | -                        | -                              | 1,140,021                    | -                             | 1,140,021        |
| Dividends:                                                       |                          |                          |                                |                              |                               |                  |
| - Final for 2002                                                 | -                        | -                        | -                              | -                            | (250,000)                     | (250,000)        |
| - Interim for 2003                                               | 7                        | -                        | -                              | (800,000)                    | -                             | (800,000)        |
| - Proposed final for 2003                                        | 7                        | -                        | -                              | (450,000)                    | 450,000                       | -                |
| At end of year                                                   | 1,000,000                | 23                       | 769,383                        | 1,981,425                    | 450,000                       | 4,200,831        |





## Company Statement of Changes in Equity

For the year ended 31 December 2003

| Notes                                                               | Share<br>capital<br>Shs'000 | Share<br>premium<br>Shs'000 | Revaluation<br>surplus<br>Shs'000 | Retained<br>earnings<br>Shs'000 | Proposed<br>dividends<br>Shs'000 | Total<br>Shs'000 |
|---------------------------------------------------------------------|-----------------------------|-----------------------------|-----------------------------------|---------------------------------|----------------------------------|------------------|
| <b>Year ended 31 December 2002</b>                                  |                             |                             |                                   |                                 |                                  |                  |
| At start of year                                                    | 1,000,000                   | 23                          | 817,650                           | 2,087,030                       | 210,000                          | 4,114,703        |
| Transfer of excess depreciation                                     | -                           | -                           | (30,212)                          | 30,212                          | -                                | -                |
| Deferred tax on transfer                                            | -                           | -                           | 9,064                             | (9,064)                         | -                                | -                |
| Revaluation surplus                                                 | -                           | -                           | 47,124                            | -                               | -                                | 47,124           |
| Deferred tax on revaluation                                         | -                           | -                           | (14,137)                          | -                               | -                                | (14,137)         |
| Net gains/(losses) not recognised<br>in the profit and loss account | -                           | -                           | 11,839                            | 21,148                          | -                                | 32,987           |
| Net profit                                                          | -                           | -                           | -                                 | 813,009                         | -                                | 813,009          |
| Dividends                                                           |                             |                             |                                   |                                 |                                  |                  |
| - Final for 2001                                                    | -                           | -                           | -                                 | -                               | (210,000)                        | (210,000)        |
| - Interim for 2002                                                  | -                           | -                           | -                                 | (650,000)                       | -                                | (650,000)        |
| - Proposed final for 2002                                           | -                           | -                           | -                                 | (250,000)                       | 250,000                          | -                |
| At end of year                                                      | 1,000,000                   | 23                          | 829,489                           | 2,021,187                       | 250,000                          | 4,100,699        |
| <b>Year ended 31 December 2003</b>                                  |                             |                             |                                   |                                 |                                  |                  |
| At start of year                                                    | 1,000,000                   | 23                          | 829,489                           | 2,021,187                       | 250,000                          | 4,100,699        |
| Transfer of excess depreciation                                     | -                           | -                           | (36,389)                          | 36,389                          | -                                | -                |
| Deferred tax on transfer                                            | -                           | -                           | 10,917                            | (10,917)                        | -                                | -                |
| Transfer of prior years' deferred tax                               | -                           | -                           | (34,634)                          | 34,634                          | -                                | -                |
| Net gains/(losses) not recognised<br>in the profit and loss account | -                           | -                           | (60,106)                          | 60,106                          | -                                | -                |
| Net profit                                                          |                             |                             |                                   | 1,150,132                       | -                                | 1,150,132        |
| Dividends:                                                          |                             |                             |                                   |                                 |                                  |                  |
| - Final for 2002                                                    | 7                           | -                           | -                                 | -                               | (250,000)                        | (250,000)        |
| - Interim for 2003                                                  | 7                           | -                           | -                                 | (800,000)                       | -                                | (800,000)        |
| - Proposed final for 2003                                           |                             | -                           | -                                 | (450,000)                       | 450,000                          | -                |
| At end of year                                                      | 1,000,000                   | 23                          | 769,383                           | 1,981,425                       | 450,000                          | 4,200,831        |



## Consolidated CashFlow Statement

For the year ended 31 December 2003

|                                                         | Notes | 2003<br>Shs'000 | 2002<br>Shs'000 |
|---------------------------------------------------------|-------|-----------------|-----------------|
| <b>Operating activities</b>                             |       |                 |                 |
| Cash generated from operations                          | 20    | 2,636,161       | 2,154,571       |
| Interest received                                       |       | 27,889          | 12,311          |
| Interest paid                                           |       | (6)             | (3,540)         |
| Tax paid                                                |       | (724,516)       | (180,992)       |
| Net cash from operating activities                      |       | 1,939,528       | 1,982,350       |
| <b>Investing activities</b>                             |       |                 |                 |
| Purchase of property, plant and equipment               | 13    | (421,342)       | (279,062)       |
| Proceeds from disposal of property, plant and equipment |       | 37,308          | 12,427          |
| Net cash used in investing activities                   |       | (384,034)       | (266,635)       |
| <b>Financing activities</b>                             |       |                 |                 |
| Dividends paid                                          |       | (1,050,000)     | (1,090,000)     |
| Net cash used in financing activities                   |       | (1,050,000)     | (1,090,000)     |
| <b>Increase in cash and cash equivalents</b>            |       | 505,494         | 625,715         |
| <b>Movement in cash and cash equivalents</b>            |       |                 |                 |
| At start of year                                        |       | 447,848         | (177,867)       |
| Increase                                                |       | 505,494         | 625,715         |
| At end of year                                          | 18    | 953,342         | 447,848         |





## Accounting Policies

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below:

**(a) Basis of preparation**

The consolidated financial statements are prepared in accordance with and comply with International Financial Reporting Standards (IFRS). The financial statements are presented in Kenya Shillings (Shs), rounded to the nearest thousand, and are prepared under the historical cost convention as modified by the revaluation of certain property.

The preparation of financial statements in conformity with generally accepted accounting principles requires the use of estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Although these estimates are based on the directors' best knowledge of current events and actions, actual results ultimately may differ from those estimates.

**(b) Group accounting**

The consolidated financial statements incorporate the company and its subsidiaries, made up to 31 December 2003. Subsidiaries are consolidated from the date on which control is transferred to the group and are not consolidated from the date that control ceases. All inter-company transactions, balances and unrealised gains on transactions between group companies are eliminated; unrealised losses are also eliminated unless cost cannot be recovered.

**(c) Revenue recognition**

Sales are recognised upon delivery of goods to customers and are stated net of excise duty and value added tax. Interest income is recognised on a time proportion basis that takes into account the effective yield on the asset.

**(d) Translation of foreign currencies**

All assets and liabilities expressed in foreign currencies are converted into Kenya shillings at the rates of exchange ruling at the balance sheet date. Transactions during the year in foreign currencies are converted at the rates ruling at the date of the transaction. The resulting differences from conversion are dealt with in the profit and loss account in the year in which they arise.

**(e) Property, plant and equipment**

All categories of property, plant and equipment are initially recorded at cost. Buildings and freehold land are subsequently shown at valuation, less subsequent depreciation. All other plant and equipment is stated at historical cost less depreciation.

Increases in the carrying amount arising on the revaluation are credited to revaluation surplus. Decreases that offset previous increases of the same asset are charged against the revaluation reserve; all other decreases are charged to the profit and loss account. Each year the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to the profit and loss account) and depreciation based on the asset's original cost is transferred from the revaluation reserve to retained earnings.



## Accounting Policies (continued)

Depreciation is calculated on the straight-line basis to write down the cost of each asset, or the revalued amount, to its estimated residual value over its estimated useful life as follows;

|                                             |                                                                            |
|---------------------------------------------|----------------------------------------------------------------------------|
| Buildings                                   | 2.5% - 10% per annum or over the period of the lease if less than 40 years |
| Plant, machinery,<br>vehicles and equipment | 7% - 30% per annum.                                                        |
| Freehold land is not depreciated.           |                                                                            |

Property, plant and equipment are periodically reviewed for impairment. Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amount and are taken into account in determining operating profit. On disposal of revalued assets, amounts in the revaluation reserve relating to that asset are transferred to retained earnings.

### (f) Accounting for leases

Leases of property, plant and equipment where the company assumes substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalised at the inception of the lease at the lower of fair value of the leased property and the estimated present value of the underlying lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding. The corresponding rental obligations, net of finance charges, are included in non-current liabilities. The interest element of the finance charge is charged to the profit and loss account over the lease period. The property, plant and equipment acquired under finance leasing contracts is depreciated over the useful life of the asset.

Leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the profit and loss account on a straight-line basis over the period of the lease.

### (g) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average method. The cost of finished goods and work in progress comprises raw materials, direct labour, other direct costs and related production overheads, but exclude interest expense. Net realisable value is the estimate of the selling price in the ordinary course of business, less the costs of completion and selling expenses.

### (h) Trade receivables

Trade receivables are carried at amortised invoice amount less provision made for impairment of these receivables. A provision for impairment of trade receivables is established when there is objective evidence that the company will not be able to collect all the amounts due according to the original terms of receivables. The amount of the provision is the difference between the carrying amount and the recoverable amount, being the present value of expected cash flows, discounted at the market rate of interest for similar borrowers.





## Accounting Policies

**(i) Employee entitlements**

The estimated monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an expense accrual.

**(j) Deferred tax**

Deferred tax is provided using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Tax rates enacted or substantively enacted at the balance sheet date are used to determine deferred tax.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

**(k) Retirement benefits obligation**

The company operates two defined contribution retirement benefit schemes for all its employees. The assets of both schemes are held in separate funds which are administered by an independent fund manager and are funded by contributions from both the company and employees. The company's contributions to the schemes are charged to the profit and loss account in the year to which they relate.

The company also operates an unfunded retirement benefit scheme to provide additional "top up" retirement benefits to management staff. The scheme operates on a defined benefit basis. No contributions are payable to the scheme, but a provision is made in the financial statements for the estimated cost of the future benefits under the scheme. The adequacy of such provisions is confirmed periodically by an independent actuarial valuation.

**(l) Dividends**

Dividends on ordinary shares are charged to equity in the year in which they are declared. Proposed dividends are shown as a separate component of equity until declared.

**(m) Reorganisation provisions**

Reorganisation provisions mainly comprise employee termination payments and are recognised in the year in which the company becomes legally or constructively committed to payment. Employee termination benefits are recognised only after either an agreement is in place with the appropriate employee representatives specifying the terms of redundancy and numbers of employees affected, or after individual employees have been advised of the specific terms. Costs related to the ongoing activities of the company are not provided in advance.

**(n) Comparatives**

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.



## Notes forming part of the Financial Statements

|          |                                                                                  | 2003<br>Shs'000  | 2002<br>Shs'000  |
|----------|----------------------------------------------------------------------------------|------------------|------------------|
| <b>1</b> | <b>Cost of operations</b>                                                        |                  |                  |
|          | Raw materials and consumables                                                    | 1,605,634        | 1,734,563        |
|          | Marketing and distribution costs                                                 | 378,037          | 602,699          |
|          | Administrative expenses                                                          | 1,365,659        | 1,390,384        |
|          | Depreciation of property, plant and equipment (Note 13)                          | 225,783          | 227,414          |
|          |                                                                                  | <u>3,575,113</u> | <u>3,955,060</u> |
| <b>2</b> | <b>Reorganisation costs</b>                                                      |                  |                  |
|          | Redundancy costs                                                                 | 66,333           | 93,398           |
|          | Other reorganisation expenses                                                    | -                | 66,990           |
|          |                                                                                  | <u>66,333</u>    | <u>160,388</u>   |
| <b>3</b> | <b>Operating profit</b>                                                          |                  |                  |
|          | The following items have been charged in arriving at operating profit:           |                  |                  |
|          | Depreciation of property, plant and equipment (Note 13)                          | 225,783          | 227,414          |
|          | Staff costs (Note 4)                                                             | 772,283          | 776,132          |
|          | Auditors' remuneration                                                           | 5,250            | 4,500            |
| <b>4</b> | <b>Staff costs</b>                                                               |                  |                  |
|          | The following items are included within staff costs:                             |                  |                  |
|          | Retirement benefit costs:                                                        |                  |                  |
|          | Defined contribution schemes (Note 11)                                           | 34,376           | 32,822           |
|          | Unfunded retirement benefits obligation (Note 11)                                | 9,744            | 50,114           |
|          | Contributions to National Social Security Fund                                   | 1,102            | 1,348            |
|          |                                                                                  | <u>45,222</u>    | <u>84,284</u>    |
|          | The number of persons employed by the group at the year-end was 447 (2002: 449). |                  |                  |
| <b>5</b> | <b>Finance income</b>                                                            |                  |                  |
|          | Interest income                                                                  | 27,889           | 12,311           |
|          | Net foreign currency exchange (loss)/gain                                        | (26,758)         | 2,644            |
|          | Interest expense and similar charges                                             | (6)              | (3,540)          |
|          |                                                                                  | <u>1,125</u>     | <u>11,415</u>    |
| <b>6</b> | <b>Tax</b>                                                                       |                  |                  |
|          | Current tax                                                                      | 562,223          | 472,201          |
|          | Deferred tax (Note 12)                                                           | (9,910)          | (1,783)          |
|          | Overprovision of current tax in prior years                                      | (5,431)          | -                |
|          | (Over)/underprovision of deferred tax in prior years (Note 12)                   | (9,308)          | 16,885           |
|          |                                                                                  | <u>537,574</u>   | <u>487,303</u>   |





## Notes forming part of the Financial Statements (cont.)

### 6 Tax (continued)

The tax on the group's profit before tax differs from the theoretical amount that would arise using the basic tax rate as follows:

|                                                                | 2003<br>Shs'000 | 2002<br>Shs'000 |
|----------------------------------------------------------------|-----------------|-----------------|
| Profit before tax                                              | 1,677,595       | 1,310,423       |
| Tax calculated at the statutory rate of 30 % (2002: 30%)       | 503,279         | 393,127         |
| Tax effect of:                                                 |                 |                 |
| Income not subject to tax                                      | (136)           | (119)           |
| Expenses not deductible for tax purposes                       | 49,170          | 77,410          |
| Overprovision of current tax in prior years                    | (5,431)         | -               |
| (Over)/underprovision of deferred tax in prior years (Note 12) | (9,308)         | 16,885          |
| Tax charge                                                     | 537,574         | 487,303         |

### 7 Dividends

At the annual general meeting to be held on 22 April 2004, a final dividend in respect of the year ended 31 December 2003 of Shs 4.50 per share amounting to Shs 450,000,000 is to be proposed. During the year, a first interim dividend of Shs 4.50 per share amounting to Shs 450,000,000 was paid on 8 September 2003. A second interim dividend of Shs 3.50 per share amounting to Shs 350,000,000 was paid on 15 December 2003. The total dividend for the year is therefore Shs 12.50 per share (2002: Shs 9.00) amounting to a total of Shs 1,250,000,000 (2002: Shs 900,000,000).

Payment of dividends is subject to withholding tax at a rate of either 5% or 10% depending on the residence of the respective shareholders.

### 8 Earnings per share

Basic earnings per share is calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

|                                                                 | 2003      | 2002    |
|-----------------------------------------------------------------|-----------|---------|
| Net profit attributable to shareholders (Shs'000)               | 1,140,021 | 823,120 |
| Weighted average number of ordinary shares in issue (thousands) | 100,000   | 100,000 |
| Basic earnings per share (Shs)                                  | 11.40     | 8.23    |

There were no potentially dilutive shares outstanding at either year end.

### 9 Share capital

|                                        | Number of<br>shares<br>(Thousands) | Ordinary<br>shares<br>Shs'000 |
|----------------------------------------|------------------------------------|-------------------------------|
| At 1 January 2003 and 31 December 2003 | 100,000                            | 1,000,000                     |

The total authorised number of ordinary shares is 100,000,000 with a par value of Shs 10 per share. All issued shares are fully paid.



## Notes forming part of the Financial Statements (cont.)

### 10 Revaluation surplus

The revaluation surplus relates to the revaluation of the company's buildings and freehold land net of deferred tax. The movements in the revaluation surplus are set out in the consolidated and company statements of changes in equity.

### 11 Retirement benefits obligation

#### Unfunded retirement benefits obligation

The company has an obligation to fund additional "top up" retirement benefits to its management staff in addition to their retirement benefits under the defined contribution scheme. The company makes a provision for the additional "top up" retirement benefits costs for management staff based on the advice of independent actuaries. The movement in the provision during the year was as follows:

|                                   | 2003<br>Shs'000 | 2002<br>Shs'000 |
|-----------------------------------|-----------------|-----------------|
| At start of year                  | 118,641         | 82,203          |
| Charge to profit and loss account | 9,744           | 50,114          |
| Utilised in the year              | (8,001)         | (13,676)        |
| At end of year                    | 120,384         | 118,641         |

An actuarial assessment of the company's obligation to fund the "top-up" retirement benefits was carried out at 31 December 2001. A full provision for the obligation was made in the financial statements based on the results of the actuarial review. The next actuarial review will be carried out as at 31 December 2004.

The main actuarial assumptions applied were as follows:

|                                                           |    |
|-----------------------------------------------------------|----|
| Discount rate                                             | 9% |
| Future annual salary increase                             | 7% |
| Future annual increase in contributions to provident fund | 7% |

#### Defined contribution schemes

The company also operates two defined contribution schemes for all its staff. The two schemes are the BAT Kenya Limited Staff Provident Fund - Old (which is a closed fund and no additional contributions are payable) and the BAT Kenya Limited Staff Provident Fund - 1991.

Contributions to the provident funds are determined by the rules of the scheme and amounted to Shs 34,376,000 (2002: Shs 32,822,000) in the year.

Contributions to the statutory pension scheme, National Social Security Fund (NSSF) are determined by local statute and amounted to Shs 1,102,000 (2002: Shs 1,348,000).



## Notes forming part of the Financial Statements (cont.)

### 12 Deferred tax

Deferred tax is calculated, in full, on all temporary differences under the liability method using the enacted tax rate of 30% (2002: 30%). The movement on the deferred tax account is as follows:

|                                              | Group           |                 | Company         |                 |
|----------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                              | 2003<br>Shs'000 | 2002<br>Shs'000 | 2003<br>Shs'000 | 2002<br>Shs'000 |
| At start of year                             | 505,124         | 475,885         | 515,235         | 475,885         |
| (Credit)/charge to income statement (Note 6) | (9,910)         | (1,783)         | (9,910)         | 8,328           |
| (Over)/underprovision in prior year          | (9,308)         | 16,885          | (19,419)        | 16,885          |
| Tax effect of revaluation                    | -               | 14,137          | -               | 14,137          |
| At end of year                               | 485,906         | 505,124         | 485,906         | 515,235         |

Deferred tax assets and liabilities and the deferred tax charge/(credit) in the profit and loss account are attributable to the following items:

| Group                           | 1 January<br>2003<br>Shs'000 | Charged/<br>(credited) to<br>P&L<br>Shs'000 | 31<br>December<br>2003<br>Shs'000 |
|---------------------------------|------------------------------|---------------------------------------------|-----------------------------------|
| <b>Deferred tax liabilities</b> |                              |                                             |                                   |
| Property, plant and equipment   |                              |                                             |                                   |
| - on historical cost basis      | 344,339                      | (37,449)                                    | 306,890                           |
| - on revaluation surplus        | 306,019                      | 23,717                                      | 329,736                           |
| Unrealised exchange gains       | 4,450                        | (4,450)                                     | -                                 |
|                                 | 654,808                      | (18,182)                                    | 636,626                           |
| <b>Deferred tax assets</b>      |                              |                                             |                                   |
| Other temporary differences     | (149,684)                    | (1,036)                                     | (150,720)                         |
| Net deferred tax liability      | 505,124                      | (19,218)                                    | 485,906                           |
| <b>Company</b>                  |                              |                                             |                                   |
| <b>Deferred tax liabilities</b> |                              |                                             |                                   |
| Property, plant and equipment   |                              |                                             |                                   |
| - on historical cost basis      | 344,339                      | (37,449)                                    | 306,890                           |
| - on revaluation surplus        | 306,019                      | 23,717                                      | 329,736                           |
| Unrealised exchange gains       | 4,450                        | (4,450)                                     | -                                 |
|                                 | 654,808                      | (18,182)                                    | 636,626                           |
| <b>Deferred tax assets</b>      |                              |                                             |                                   |
| Other temporary differences     | (139,573)                    | (11,147)                                    | (150,720)                         |
| Net deferred tax liability      | 515,235                      | (29,329)                                    | 485,906                           |

Deferred tax of Shs 10,917,000 (2002: Shs 9,064,000) was transferred within shareholders' equity from revaluation surplus to retained earnings. This represents deferred tax on the difference between the actual depreciation on the property and the equivalent depreciation based on the historical cost of the property.





## Notes forming part of the Financial Statements (cont.)

### 13 Property, plant and equipment - Group and Company

|                                   | Freehold<br>land and<br>buildings<br>Shs'000 | Plant<br>and<br>machinery<br>Shs'000 | Vehicles<br>and<br>equipment<br>Shs'000 | Total<br>Shs'000 |
|-----------------------------------|----------------------------------------------|--------------------------------------|-----------------------------------------|------------------|
| <b>Cost or valuation</b>          |                                              |                                      |                                         |                  |
| At start of year                  | 1,727,100                                    | 2,641,875                            | 612,051                                 | 4,981,026        |
| Additions                         | 1,924                                        | 349,465                              | 69,953                                  | 421,342          |
| Disposals and assets written down | -                                            | (73,854)                             | (83,280)                                | (157,134)        |
| At end of year                    | 1,729,024                                    | 2,917,486                            | 598,724                                 | 5,245,234        |
| <b>Depreciation</b>               |                                              |                                      |                                         |                  |
| At start of year                  | 84,330                                       | 1,067,943                            | 407,211                                 | 1,559,484        |
| Charge for the year               | 47,407                                       | 126,113                              | 52,263                                  | 225,783          |
| Disposals and assets written down | -                                            | (19,895)                             | (72,215)                                | (92,110)         |
| At end of year                    | 131,737                                      | 1,174,161                            | 387,259                                 | 1,693,157        |
| <b>Net book amount</b>            |                                              |                                      |                                         |                  |
| At 31 December 2003               | 1,597,287                                    | 1,743,325                            | 211,465                                 | 3,552,077        |
| Historical cost                   | 498,168                                      | 1,743,325                            | 211,465                                 | 2,452,958        |
| Revaluation                       | 1,099,119                                    | -                                    | -                                       | 1,099,119        |
| At 31 December 2002               | 1,642,770                                    | 1,573,932                            | 204,840                                 | 3,421,542        |
| Historical cost                   | 507,262                                      | 1,573,932                            | 204,840                                 | 2,286,034        |
| Revaluation                       | 1,135,508                                    | -                                    | -                                       | 1,135,508        |

Freehold land and buildings were revalued as at 31 December 2002, by external professional valuers, on the following basis:

- open market value for land and residential properties in major urban areas; and
- net current replacement cost on existing use basis for all other properties

The book values of revalued assets were adjusted to revaluations and the resultant surplus, net of deferred tax, was credited to revaluation surplus in shareholders' equity.

In the opinion of the directors there is no impairment of property, plant and equipment.

### 14 Prepaid operating lease rentals

|                           | 2003<br>Shs'000 | 2002<br>Shs'000 |
|---------------------------|-----------------|-----------------|
| At start of year          | 223             | 227             |
| Amortisation for the year | (4)             | (4)             |
| At end of year            | 219             | 223             |



## Notes forming part of the Financial Statements (cont.)

### 15 Inventories - Group and Company

|                                     | 2003<br>Shs'000  | 2002<br>Shs'000  |
|-------------------------------------|------------------|------------------|
| Raw materials and consumables       | 1,118,578        | 1,304,071        |
| Finished goods and work in progress | 159,371          | 122,186          |
|                                     | <u>1,277,949</u> | <u>1,426,257</u> |

### 16 Receivables and prepayments

|                                      | Group           |                  | Company         |                 |
|--------------------------------------|-----------------|------------------|-----------------|-----------------|
|                                      | 2003<br>Shs'000 | 2002<br>Shs'000  | 2003<br>Shs'000 | 2002<br>Shs'000 |
| Trade Receivables                    | 78,400          | 94,896           | 41,697          | 5,037           |
| Prepayments and other receivables    | 418,503         | 567,146          | 415,390         | 567,146         |
| Due from related companies (Note 21) | 75,579          | 355,884          | 77,781          | 401,860         |
|                                      | <u>572,482</u>  | <u>1,017,926</u> | <u>534,868</u>  | <u>974,043</u>  |

### 17 Payables and accrued expenses

|                                     | Group            |                  | Company          |                  |
|-------------------------------------|------------------|------------------|------------------|------------------|
|                                     | 2003<br>Shs'000  | 2002<br>Shs'000  | 2003<br>Shs'000  | 2002<br>Shs'000  |
| Trade payables                      | 246,710          | 263,956          | 246,710          | 263,956          |
| Due to related companies (Note 21)  | 23,789           | 109,163          | 79,440           | 109,163          |
| Other payables and accrued expenses | 1,234,480        | 994,409          | 1,118,093        | 986,945          |
|                                     | <u>1,504,979</u> | <u>1,367,528</u> | <u>1,444,243</u> | <u>1,360,064</u> |

### 18 Cash and cash equivalents - Group

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand, deposits held at call with banks net of bank overdrafts. The year-end cash and cash equivalents comprise the following:

|                          | 2003<br>Shs'000 | 2002<br>Shs'000 |
|--------------------------|-----------------|-----------------|
| Cash at bank and in hand | 162,640         | 117,848         |
| Short term bank deposits | 790,702         | 330,000         |
|                          | <u>953,342</u>  | <u>447,848</u>  |

The weighted average effective interest rate on short-term bank deposits during the year was 3.87% (2002: 6.86%).



## Notes forming part of the Financial Statements (cont.)

### 19 Contingent liabilities

At 31 December 2003, the group had given guarantees amounting to Shs 54 million (2002: Shs 50 million) on behalf of third parties.

### 20 Cash generated from operations

Reconciliation of profit before taxation to cash generated from operations:

|                                                              | 2003<br>Shs'000 | 2002<br>Shs'000 |
|--------------------------------------------------------------|-----------------|-----------------|
| Profit before tax                                            | 1,677,595       | 1,310,423       |
| Adjustments for:                                             |                 |                 |
| Depreciation of property, plant and equipment (Note 13)      | 225,783         | 227,414         |
| Amortisation of prepaid operating lease rentals (Note 14)    | 4               | 4               |
| Loss on disposal/withdrawal of property, plant and equipment | 27,716          | 65,636          |
| Interest income (Note 5)                                     | (27,889)        | (12,311)        |
| Interest expense (Note 5)                                    | 6               | 3,540           |
| Changes in working capital:                                  |                 |                 |
| - receivables and prepayments                                | 445,444         | (328,122)       |
| - inventories                                                | 148,308         | 552,475         |
| - payables and accrued expenses                              | 137,451         | 299,074         |
| Change in retirement benefit obligations                     | 1,743           | 36,438          |
| Cash generated from operations                               | 2,636,161       | 2,154,571       |

### 21 Related party disclosures

The ultimate parent and controlling party of the group is British American Tobacco plc, incorporated in England and Wales. There are other companies that are related to British American Tobacco Kenya Limited through common shareholding or common directorships.

#### (i) Transactions with related parties

The company receives technical and administrative support from the parent company in areas such as marketing, management training, and research and development. Technical and advisory fees payable to the parent company in respect of these services in the year was Shs 174,200,000 (2002: Shs 148,775,000).

The company pays royalties to related parties for certain cigarette trademarks that are owned by those parties. The royalties are payable at a rate of 5% of the net turnover of the qualifying brands. Total royalties payable in the year were Shs 61,859,000 (2002: Shs 61,853,000).

The company manufactures cigarettes under contract, sells cutrag (processed tobacco) and processes green leaf for related companies. Transactions with related companies are carried out on commercial terms and conditions. The income arising from these transactions in the year was Shs 248,404,000 (2002: Shs 231,969,000).





## Notes forming part of the Financial Statements (cont.)

### 21 Related party disclosures (continued)

#### (i) Transactions with related parties (continued)

Outstanding balances arising from the transactions with related parties are as follows:

|                                         | 2003<br>Shs'000 | 2002<br>Shs'000 |
|-----------------------------------------|-----------------|-----------------|
| <u>Receivables</u>                      |                 |                 |
| Fellow subsidiaries                     | 75,579          | 355,884         |
| <u>Payables</u>                         |                 |                 |
| Parent company                          | 13,203          | 43,070          |
| Fellow subsidiaries                     | 10,586          | 66,093          |
|                                         | <u>23,789</u>   | <u>109,163</u>  |
| <br>(ii) <b>Directors' remuneration</b> |                 |                 |
| - fees                                  | 210             | 204             |
| - others                                | 46,963          | 47,813          |
|                                         | <u>47,173</u>   | <u>48,017</u>   |

#### SUBSIDIARY COMPANIES IN THE BRITISH AMERICAN TOBACCO KENYA LIMITED GROUP (ALL INCORPORATED IN KENYA)

|                                                    | % of equity shares held |
|----------------------------------------------------|-------------------------|
| BAT Kenya Tobacco Company Limited .....            | 100                     |
| African Cigarette Company (Overseas) Limited ..... | 100 (non-trading)       |
| East African Tobacco Company Kenya Limited .....   | 100 (non-trading)       |



## Form of Proxy

To: .....

The Secretary

British American Tobacco Kenya Limited

P.O. Box 30000-00100

Nairobi

I/We

.....

.....of P.O. Box .....

member/members of British American Tobacco Kenya Limited appoint.

.....

or failing him, the Chairman of the Meeting as my/our proxy, to vote for me/us and on my/our behalf at the Annual General Meeting of the Company to be held on Thursday, 22 April 2004 in the Ball Room, Hotel Intercontinental Nairobi, or at any adjournment thereof.

As witness my/our hand/s this

.....

....., 2004

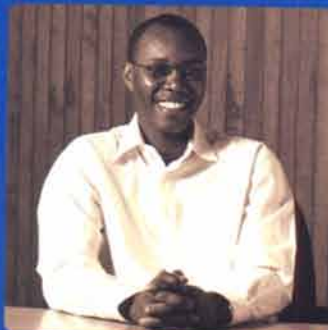
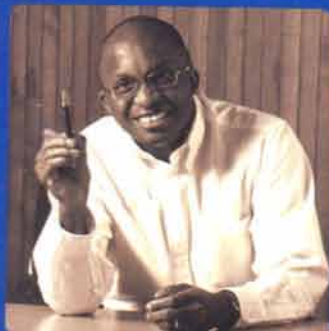
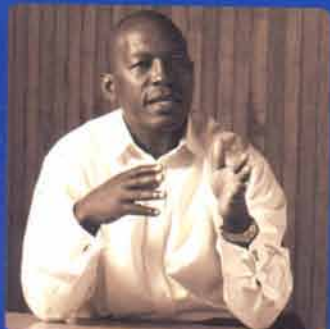
.....

(Signature)

### NOTES:

1. If a member is unable to attend this meeting personally this Form of Proxy should be completed and returned to reach the Company's Registered Office not later than 2.30 p.m. on Wednesday, 21 April 2004.
2. A person appointed to act as a proxy need not be a member of the Company.
3. If the appointer is a corporation, this Form of Proxy must be under its Common Seal or under the hand of the officer or attorney duly authorised in that behalf.

# Top Management Team



From top row, left to right, Edward Irungu (Audit Manager) • Philip Lopokoiyit (Finance Director) • Ruth Ngobi (Company Secretary) • Peter Gaitho (Head of Manufacturing) • Wesley Koech (Head of Information Technology) • Simon Welford (Managing Director) • Keli Kiilu (Corporate and Regulatory Affairs Director) • Dan Okumu (Head of Supply Chain) • Stanley Mugwe (Head of Leaf) • Kariuki Nguru (Head of Marketing) • David Kiambi (Head of Human Resources) • Paul Sine (Finance Manager)





**BRITISH AMERICAN  
TOBACCO**  
KENYA